

Credit Strategy Weekly Update

High Yield and Leveraged Loan Research

- High-yield bond yields and spreads decreased 13bp apiece this week amid a supportive earnings season ([HY Earnings Tracker](#)), strong technicals (\$2bn weekly inflow, only \$3.3bn of issuance), and reduced prospects for a rate hike at the September Fed meeting (40% odds post payrolls). As well the HY HPC subsector tightened 14bp w/w to 385bp and is 33bp inside the recent wide after beginning July at 298bp. HY bond yields and spreads decreased 13bp apiece this week to 7.36% and 304bp, which are down 15bp and 13bp in August and up 58bp and down 10bp YTD. And BB, B, and CCC spreads are -16bp, -14bp, and +135bp YTD, respectively. As such, BB and B spreads are only 3% and 6% above their post-GFC low while CCC spreads are 60% above. **High-yield bonds are providing a +2.42% gain in 2026**, with Energy (+4.9%), Chemicals (+4.8%) and Telecom (+4.1%) outperforming.
- Leveraged loan prices edged \$0.12 higher w/w amid steady inflows, light capital market activity, and outperformance in sectors such as Cable/Sat. (+0.76% w/w) and Software (+0.63% w/w). The past week's \$787mn inflow for the loan asset class was the 17th in the last 18 weeks, whereas the past week's net loan issuance (\$9.8bn gross, \$2.1bn net) was below August's net CLO origination (\$3.0bn). The Loan index provided a weekly return of +0.25% with BB, B1, B2, B3, and CCCs returning +0.2%, +0.3%, +0.3%, +0.3%, and +0.3%, respectively. **Leveraged loan spreads of 491bp were 4bp tighter w/w and are now 47bp wider year-to-date with BB, B1, B2, B3, and CCC wider by 23bp, 23bp, 57bp, 82bp, and 323bp, respectively.** The Leveraged Loan index is providing a gain of +2.53% year-to-date or +3.34% ex-Software.
- We published our [Default Monitor](#). **There was only one payment default impacting \$3.13bn in bonds (\$1.45bn) and loans (\$1.67bn) in July, and no distressed exchanges for only the third time in the last four years.** This month's default (FRAX) was the third largest in 2026 behind DISH (\$9.75bn) and LABL (\$4.5bn). **Combined, there have been 29 default actions YTD totaling \$36.5bn (+15% yoy), which includes a 107% yoy increase in payment defaults and 42% yoy decline in distressed exchange activity.** HY bond volume affected by defaults/LMEs year-to-date is outpacing that of loans by \$4.9bn, the first time this has occurred since 2020. **Including distressed exchanges, the par-weighted US HY bond and loan default rates increased +7bp and +3bp m/m to 2.77% and 2.32%, respectively.** For context, the 25-year average HY and LL default rates are 3.2% and 2.9%, respectively, and the post-GFC average (2011-present) is 2.3% apiece. Notably, the HY default rate is at a high since January 2024 whereas the leveraged loan default has fallen 91bp over the past five months to a low since March 2023 (absent June). As a result, the gap between leveraged loan and high-yield par-weighted default rates has widened to -45bp, a low since May 2021. For context, leveraged loan default rates were 302bp above HY default rates at YE23. **Given the stress in the high-yield Cable sector, we have raised our 2026 and 2027 high-yield bond default rate forecasts by 50bp apiece to 2.25% and 2.75%, respectively.** For leveraged loans, LME activity is running more than 50% below last year's pace. That said, we continue to expect LME activity to rise in 2027 ahead of 2028's lower-rated maturities. **We now forecast a 2026 leveraged loan default rate of 2.25% (-75bp vs prior) which we expect to double to 4.50% (unchanged) in 2027.**

North America Corporate Credit - Distressed, High Yield and Leveraged Loans Strategy

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Credit Strategy Update

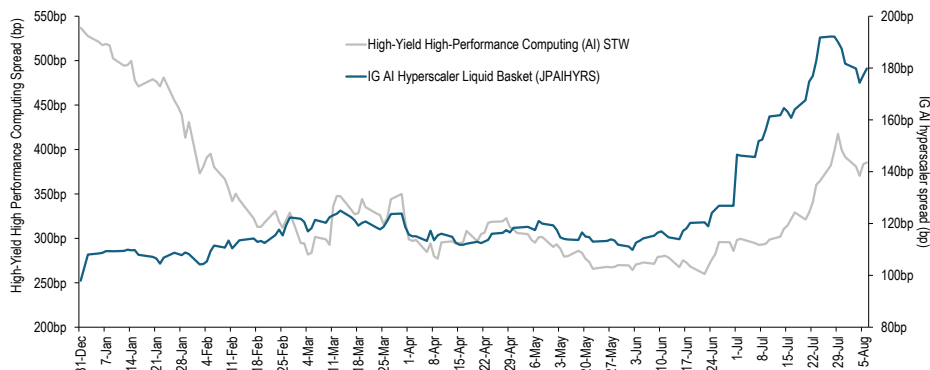
High-yield bond yields and spreads decreased 13bp apiece this week amid a supportive earnings season, strong technical (\$2bn inflows, light issuance), and reduced prospects for a rate hike at the September Fed meeting (40% odds post payrolls). This morning's softer payroll report (-23K payrolls, +0.1% avg. hourly earnings) has 10yr Treasury yields 12bp lower this week, and the S&P 500 has already gained more than 3% to kick-off August with earnings season delivering strong results. **Meanwhile, HY reporting season remains robust with two-thirds complete**—3.5x as many High Yield companies have beaten (39%) EBITDA expectations as missed (11%), whereas 2.3x as many High Yield companies have provided positive guidance vs negative ([HY Earnings Tracker](#)). High-yield mutual funds also posted a \$2bn inflow for the reporting week, the second largest in 16 weeks. **Capital market activity remains limited with \$3.3bn syndicated this week** following a 15-month low of \$18bn for July ([Market Monitor: Leveraged loans outperformed HY bonds by the second widest margin since October 2024](#)). High-yield bond yields and spreads decreased 13bp apiece this week to 7.36% and 304bp, which are down 15bp and 13bp in August and are up 58bp and down 10bp YTD. Notably, yields are down 21bp off their 4-month high in the last five sessions while spreads have tightened 19bp over the same duration. For reference, spreads touched a post-GFC low of 295bp on January 22nd and a YTD high of 373bp on March 30th. CCCs (+0.76% w/w) outperformed Single-Bs (+0.65% w/w) and BBs (+0.46% w/w). And from a sector stance, Consumer Products (+1.50% w/w) and Media (+1.07% w/w) outperformed the index, whereas Utility (+0.34% w/w) and Healthcare (+0.36% w/w) underperformed. **The HY HPC subsector tightened 14bp over the past week to 385bp and are 33bp inside the recent wide after beginning July at 298bp.** Note this week we made some mild adjustments to our default outlook, which can be viewed [here](#). **We now forecast 2026 HY bond and loan default rates of 2.25% apiece, which we expect to rise to 2.75% (HY) and 4.50% (LL) in 2027.**

Double B, Single B, and CCC bond spreads are -16bp, -14bp, and +135bp year-to-date, respectively

	HY	IG	BBB	BB	B	CCC	HY/IG	BB/BBB	B/BB	CCC/B
Current	304bp	81bp	99bp	187bp	309bp	892bp	223bp	88bp	122bp	583bp
YTD Change	-10bp	1bp	-1bp	-16bp	-14bp	135bp	-11bp	-14bp	2bp	148bp
12M High	373bp	95bp	116bp	243bp	404bp	908bp	279bp	133bp	161bp	583bp
12M Low	295bp	73bp	92bp	181bp	301bp	716bp	220bp	85bp	108bp	400bp
1 Yr Average	321bp	80bp	100bp	204bp	336bp	798bp	241bp	104bp	132bp	462bp
5 Yr Average	387bp	107bp	132bp	254bp	402bp	843bp	279bp	122bp	148bp	441bp
10 Yr Average	417bp	115bp	143bp	275bp	425bp	854bp	302bp	131bp	150bp	430bp
15 Yr Average	458bp	128bp	160bp	303bp	459bp	876bp	331bp	143bp	156bp	417bp
US Recession Average	971bp	252bp	355bp	568bp	901bp	1977bp	716bp	245bp	333bp	1076bp
US Non Recession Average	493bp	116bp	167bp	317bp	491bp	956bp	394bp	168bp	174bp	465bp
Post gfc low	295bp	73bp	92bp	181bp	292bp	557bp	214bp	81bp	93bp	198bp
All time low	251bp	73bp	92bp	159bp	228bp	398bp	163bp	22bp	18bp	166bp
% Above/Below 12M Avg.	-5%	1%	-1%	-8%	-8%	12%	-8%	-15%	-8%	26%
% Above 12M Low	3%	11%	8%	3%	3%	25%	1%	4%	13%	46%
% Above Post-GFC Low	3%	11%	8%	3%	6%	60%	4%	9%	32%	194%

Source: J.P. Morgan.

Widening 39bp this week, the HPC sub sector is 114bp wider in July



Source: J.P. Morgan.

Note: The HPC HY subsector can be accessed under Bloomberg with the ticker JHYSHPC. The IG AI Hyperscalers are represented by a liquid basket with Bloomberg ticker JPAIHYRS

By rating, BB bond yields are now 6.20% (-10bp w/w), B yields are 7.38% (-21bp w/w), and CCC yields are 13.22% (-7bp w/w). And BB spreads are now 187bp (-10bp w/w, -10bp August), B spreads are 309bp (-21bp w/w, -21bp August), and CCC spreads are 892bp (-8bp w/w, -2bp August). **And BB and B spreads are only 3% and 6% above their post-GFC low while CCC spreads are 60% above. For context, BB, B, and CCC bond spreads are -16bp, -14bp, and +135bp year-to-date, respectively.** HY/IG spreads of 223bp (-12bp w/w, -12bp August) are 18bp below the 12-month average, whereas BBB/BB spreads of 88bp (-8bp w/w, -8bp August) are 16bp below the 12-month average. High-yield bonds are providing a +0.55% gain in August, with CCCs (+0.68%) outperforming Single-Bs (+0.63%) and BBs (+0.49%). Notably, July (-0.24%) was only the second time HY bonds provided a negative return over the past 16 months. Outperforming and underperforming in August are Consumer Prod. (+1.29%) and Utility (+0.34%), respectively. **High-yield bonds are now providing a +2.42% gain in 2026**, with Single-Bs (+3.06%) outperforming BBs (+2.18%) and CCCs (+1.54%). Energy (+4.85%) has been the strongest performer in 2026, followed by Chemicals (+4.81%) and Telecom (+4.10%) with Cable/Sat. (-0.86%) and Paper/Pack. (-0.21%) lagging. Meanwhile, 6 deals priced this week for \$3.3bn, which lifts August issuance to \$3.3bn (\$1.1bn net) following July's 15-month low \$18.0bn (\$7.7bn net). **Year-to-date, high-yield bond issuance totals \$208.2bn (\$90.7bn ex-refi), which compares to \$191.4bn (\$49.4bn) over the same period a year ago.**

Spreads by industry relative to the past twelve months range; Cable at the wide versus Energy at the tight

Sector	Current Spreads	YTD Change	LTM Low	LTM High	Current lvt (%ile)	LTM Range
Automotive	251bp	-33bp	249bp	369bp	2%	249bp ● 369bp
Cable/Satellite	661bp	150bp	453bp	675bp	94%	453bp ● 675bp
Chemicals	294bp	-63bp	282bp	452bp	7%	282bp ● 452bp
Consumer Prod.	311bp	-6bp	289bp	383bp	24%	289bp ● 383bp
Energy	210bp	-93bp	205bp	364bp	3%	205bp ● 364bp
Financial	291bp	19bp	251bp	394bp	28%	251bp ● 394bp
Food/Beverages	240bp	28bp	197bp	272bp	57%	197bp ● 272bp
Gaming/Leisure	239bp	-5bp	227bp	306bp	15%	227bp ● 306bp
Healthcare	267bp	-37bp	259bp	358bp	9%	259bp ● 358bp
Housing	311bp	14bp	259bp	403bp	36%	259bp ● 403bp
Industrial	193bp	-11bp	185bp	268bp	10%	185bp ● 268bp
Media	393bp	-19bp	372bp	470bp	21%	372bp ● 470bp
Metals/Mining	234bp	-11bp	222bp	322bp	12%	222bp ● 322bp
Paper/Packaging	396bp	-78bp	350bp	658bp	15%	350bp ● 658bp
Retail	236bp	-119bp	230bp	447bp	3%	230bp ● 447bp
Services	276bp	6bp	256bp	343bp	23%	256bp ● 343bp
Technology	405bp	31bp	311bp	469bp	59%	311bp ● 469bp
Telecom	446bp	48bp	381bp	500bp	54%	381bp ● 500bp
Transportation	284bp	-57bp	284bp	454bp	0%	284bp ● 454bp
Utility	192bp	-20bp	181bp	248bp	16%	181bp ● 248bp

Source: J.P. Morgan.

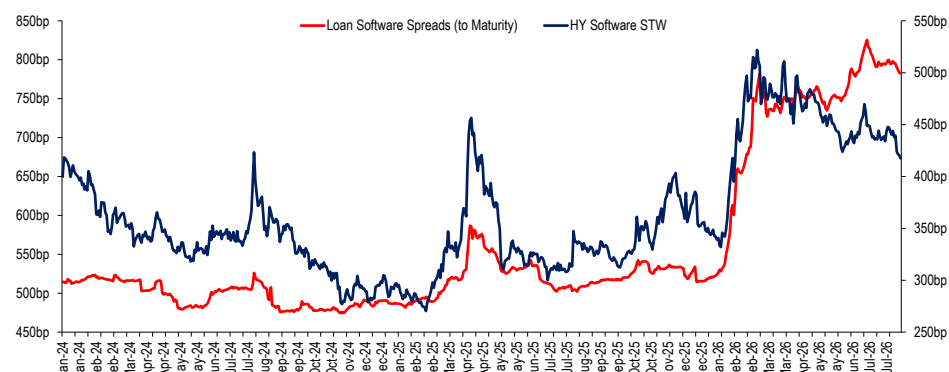
Leveraged loan prices edged \$0.12 higher over the past week amid steady inflows, light capital market activity, and modest outperformance in sectors such as Cable/Sat. and Software. Retail loan funds reported a \$767mn weekly inflow which included the largest inflows for the loan dedicated products in 12 weeks. A modest \$9.8bn issuance priced this week, with net new money of \$2.1bn below the past week's net CLO origination (\$3.0bn). Meanwhile, despite this morning's softer payroll report, a Fed rate hike is still fully priced-in for the December meeting. **Leveraged loan prices rose +\$0.12 over the past week to \$95.48 (-\$1.10 YTD)** with Ba1/Ba2/Ba3 prices increasing by +\$0.09 to \$99.35, B1 prices increasing by +\$0.18 to \$98.59, B2 prices increasing by +\$0.14 to \$97.17, B3 prices rising by +\$0.81 to \$94.78, and Caa1/Caa2/Caa3 prices decreasing by -\$0.26 to \$72.51. **The Leveraged Loan index provided a weekly return of +0.25% with BB, B1, B2, B3, and CCC loans returning +0.20%, +0.31%, +0.28%, +0.30%, and +0.31%, respectively.** And from a sector stance, Cable/Sat. (+0.76% w/w) and Technology (+0.61% w/w) outperformed the index, whereas Telecom (-0.18% w/w) and Retail (-0.16% w/w) underperformed. **Leveraged loan yields and spreads (3yr) decreased 3bp and 4bp over the past week to 8.93% and 491bp, which are down 9bp and 4bp in August and are up 122bp and 47bp year-to-date, respectively.** And Software spreads tightened 14bp over the past week to 782bp (to maturity) which is 264bp wider YTD and 42bp inside its recent wide. The yield for the Leveraged Loan index of 8.93% is 157bp above the HY bond index (7.36%), which compares to an average of 109bp above over the past year. And Leveraged Loan spreads ex-Software are now 438bp, which is only 32bp above the year-to-date low and 10bp wider YTD.

Telecom, Services, Housing, and Technology spreads remain at the wider end of the past twelve months range

Sector	Current Spreads	YTD Change	LTM Low	LTM High	Current tvl	LTM Range
Automotive	449bp	9bp	413bp	698bp	13%	413bp — 698bp
Cable/Satellite	505bp	20bp	432bp	576bp	51%	432bp — 576bp
Chemicals	545bp	-87bp	491bp	674bp	30%	491bp — 674bp
Consumer Prod.	468bp	-75bp	464bp	584bp	4%	464bp — 584bp
Energy	295bp	-57bp	276bp	370bp	20%	276bp — 370bp
Financial	347bp	37bp	294bp	399bp	50%	294bp — 399bp
Food/Beverages	407bp	15bp	383bp	434bp	47%	383bp — 434bp
Gaming/Leisure	343bp	9bp	321bp	364bp	50%	321bp — 364bp
Healthcare	480bp	11bp	453bp	538bp	31%	453bp — 538bp
Housing	571bp	108bp	384bp	606bp	85%	384bp — 606bp
Industrial	344bp	-4bp	341bp	380bp	8%	341bp — 380bp
Media	479bp	-107bp	470bp	681bp	4%	470bp — 681bp
Metals/Mining	308bp	0bp	301bp	320bp	35%	301bp — 320bp
Paper/Packaging	469bp	20bp	397bp	512bp	63%	397bp — 512bp
Retail	434bp	-2bp	416bp	531bp	16%	416bp — 531bp
Services	527bp	89bp	418bp	530bp	97%	418bp — 530bp
Technology	813bp	278bp	513bp	871bp	84%	513bp — 871bp
Telecom	930bp	235bp	582bp	930bp	100%	582bp — 930bp
Transportation	307bp	-3bp	297bp	344bp	20%	297bp — 344bp
Utility	268bp	-7bp	268bp	307bp	0%	268bp — 307bp

Source: J.P. Morgan.; S&P/IHS Markit

Software loan spreads are now 42bp inside the wide after tightening 14bp over the past week



Source: J.P. Morgan.; S&P/IHS Markit

The Leveraged Loan index is providing a +0.23% gain in August following a +0.80% gain in July. **The Leveraged Loan index is providing a gain of +2.53% year-to-date (+3.34% ex-Software), with Moody's BB, B1, B2, B3, and CCC-rated loans returning +2.82%, +3.08%, +2.14%, +2.85%, and -0.09%, respectively.** Consumer Prod. (+6.13%) has been the strongest performer in 2026 followed by Chemicals (+5.81%) and Media (+5.43%) with Technology (-2.12%), Housing (+1.16%) and Cable/Sat. (+1.43%) lagging. **Meanwhile, the % of leveraged loans trading above Par stands at 37.8%;** other price bucket percentages are as follows: sub-\$80, \$80-\$89.99, \$90-\$94.99, \$95-\$97.99, \$98-\$98.99, and \$99-\$99.99 are now at 4.42%, 4.35%, 7.73%, 11.39%, 6.38%, and 27.91%, respectively. August's CLO volume totals \$6.0bn (\$3.0bn ex-refi reset) following \$46.0bn (\$13.3bn ex-refi reset) in July, increasing year-to-date CLO volume to \$279.4bn (\$97.4bn ex-refi/resets) which compares to \$307.4bn (\$122.7bn ex-refi/resets) YTD25. **Meanwhile, 12 deals priced this week for \$9.8bn, which lifts August issuance to \$9.8bn (\$2.1bn net) following July's issuance totaling \$74.8bn (\$14.7bn net).** YTD institutional loan issuance totals \$523.1bn, which includes \$224.7bn of repricing (43%), \$163.8bn of refinancing (31%), and \$134.5bn of non-refi/repricing (26%) and compares to \$660.1bn gross (-22% y/y) and \$119.5bn net (+11% y/y) over the same period a year ago. **Notably, \$6.3bn of direct lending refinanced into broadly syndicated loans since the beginning of July (average rating B2 with 6.0x leverage) versus \$9.2bn throughout 1H26.**

Leveraged loan spreads are 47bp wider year-to-date with BB, B1, B2, B3, and CCC spreads wider by 23bp, 23bp, 57bp, 82bp, and 323bp, respectively

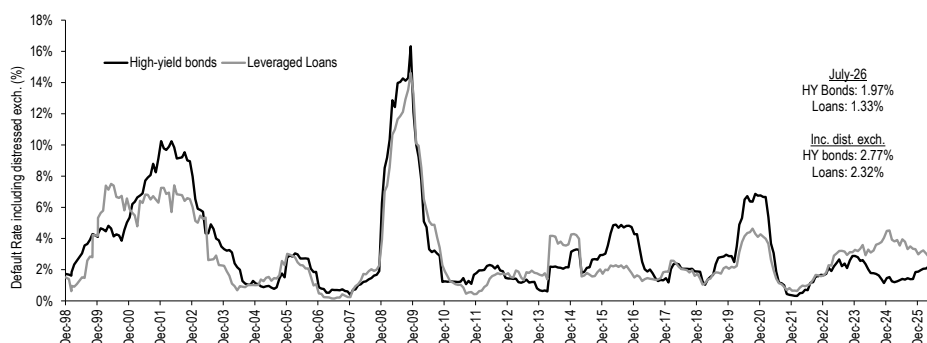
	LL	BB	B1/B2	B3 or lower	B1/B2 vs BB	B3 or lower vs B1/B2	B1	B2	B3	CCC	B3 vs B1/B2	B2 vs B1	CCC/B3
Current	491bp	259bp	405bp	876bp	146bp	471bp	344bp	431bp	611bp	1845bp	206bp	87bp	1234bp
YTD Change	47bp	23bp	47bp	124bp	23bp	77bp	23bp	57bp	82bp	323bp	36bp	34bp	241bp
12M High	528bp	272bp	457bp	890bp	186bp	483bp	394bp	486bp	650bp	1884bp	236bp	96bp	1296bp
12M Low	430bp	230bp	351bp	687bp	117bp	314bp	310bp	369bp	489bp	1349bp	121bp	10bp	825bp
1 Yr Average	467bp	249bp	393bp	790bp	144bp	398bp	347bp	413bp	564bp	1632bp	171bp	66bp	1069bp
5 Yr Average	502bp	297bp	457bp	841bp	159bp	384bp	404bp	484bp	651bp	1473bp	195bp	80bp	822bp
10 Yr Average	492bp	307bp	464bp	895bp	156bp	431bp	417bp	494bp	676bp	1492bp	212bp	77bp	816bp
15 Yr Average	504bp	332bp	490bp	978bp	158bp	487bp	441bp	544bp	706bp	1530bp	216bp	103bp	824bp
US Recession Average	1058bp	764bp	1168bp	1754bp	404bp	586bp	1078bp	1319bp	1582bp	2102bp	414bp	240bp	520bp
US Non Recession Average	503bp	345bp	491bp	937bp	146bp	446bp	446bp	543bp	699bp	1396bp	208bp	98bp	697bp
Post gfc low	379bp	230bp	351bp	606bp	7bp	193bp	310bp	369bp	473bp	659bp	-79bp	-23bp	-20bp
All time low	214bp	185bp	230bp	242bp	7bp	-9bp	218bp	250bp	230bp	241bp	-79bp	-23bp	-20bp
% Above/Below 12M Avg.	5%	4%	3%	11%	2%	19%	-1%	4%	8%	13%	21%	32%	15%
% Above 12M Low	14%	12%	16%	28%	25%	50%	11%	17%	25%	37%	70%	767%	50%
% Above Post-GFC Low	30%	12%	16%	45%	1948%	145%	11%	17%	29%	180%	360%	472%	6172%

Source: J.P. Morgan.; S&P/IHS Markit

Weekly Themes

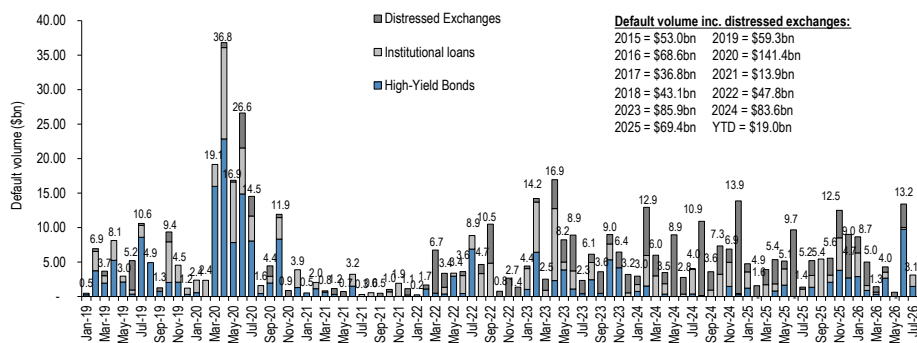
Default Update

High-yield bond and leveraged loan default rates both ticked higher in July, with HY rates remaining higher than LL rates for a second consecutive month



Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

Default/LME activity was modest in July, with only one payment default totaling \$3.1bn



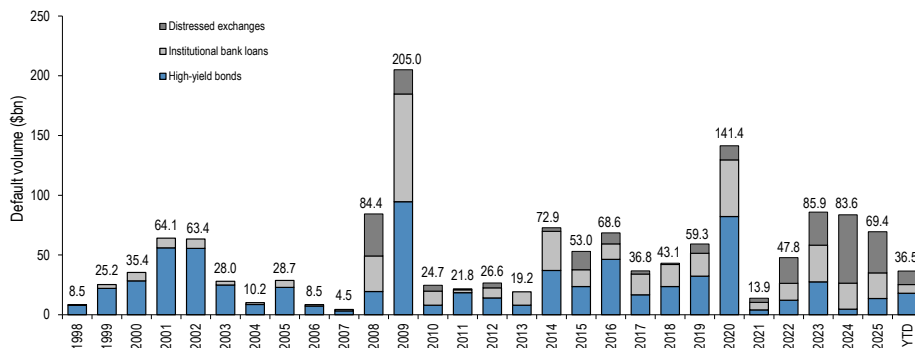
Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

The gap between leveraged loan and high-yield par-weighted default rates declined to -45bp in July and is down 347bp from the historical peak of 302bp at YE23



Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

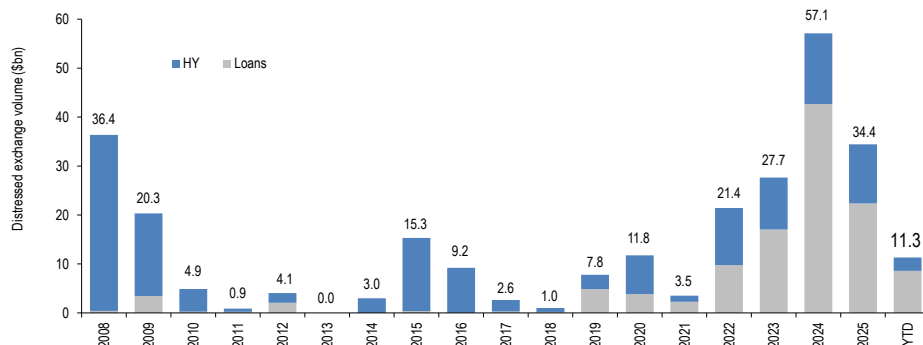
The combined 29 default actions YTD total \$36.5bn, which is tracking 15% above the pace across the first seven months last year



Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

We published our [Default Monitor](#) for July earlier this week. **There was only one payment default impacting \$3.13bn in bonds (\$1.45bn) and loans (\$1.67bn) in July, and no distressed exchanges for only the third time in the last four years.** This month's default (FRAX) was the third largest in 2026 behind DISH (\$9.75bn) and LABL (\$4.5bn). Year-to-date, there have been twelve payment defaults totaling \$25.2bn in bonds (\$18.0bn) and loans (\$7.3bn) and 17 distressed transactions totaling \$11.3bn in bonds (\$2.7bn) and loans (\$8.6bn). **Combined, there have been 29 default actions YTD totaling \$36.5bn, which is outpacing last year's pace by +15%. Notably, payment default volume was +107% higher yoy, whereas distressed exchange volume is down -42%. And HY bond volume affected by defaults/LMEs year-to-date is outpacing that of loans by \$4.9bn, the first time this has occurred since 2020. Including distressed exchanges, the Par-weighted US high-yield bond and loan default rates increased +7bp and +3bp m/m to 2.77% and 2.32%, respectively. Notably, the HY default rate is at a high since January 2024, whereas the leveraged loan default has fallen 91bp over the past five months to a low since March 2023 (absent June).** As a result, the gap between leveraged loan and high-yield par-weighted default rates has widened to -45bp, a low since May 2021. For context, leveraged loan default rates were 302bp above HY default rates at YE23. Meanwhile, the HY bond and loan issuer-weighted default rates, including distressed exchanges, are 3.50% and 3.03%, respectively. The leveraged credit default rate, which combines bonds and loans, increased 5bp m/m to 2.54%. And the KBRA DLD Direct Lending Index trailing 12-month (TTM) par-weighted rate Default Rate in July was 1.4%, which rises to 3.8% combining non-accruals. Given stress in the high-yield Cable sector, we are making changes to our high-yield bond default rate forecast. **Specifically, we now forecast a 2026 high-yield bond rate of 2.25% (+50bp vs prior) which we expect to rise to 2.75% in 2027 (+50bp vs prior).** While many of the factors supporting our default outlook remain in place, the high-yield Cable sector has already produced (unexpectedly) the second largest default post pandemic and currently accounts for 30% of the HY distressed universe. With half of 2025's default activity in bonds occurring in November and December, we acknowledge HY LTM default rates will run above our forecast through October 2026 (will slide into YE26). For leveraged loans, LME activity is running more than 50% below last year's pace. That said, we continue to expect LME activity to rise in 2027 ahead of 2028's lower-rated maturities. **We now forecast a 2026 leveraged loan default rate of 2.25% (-75bp vs prior) which we expect to double to 4.50% (unchanged) in 2027.**

Distressed exchanges/LMEs total \$11.3bn thus far in 2026, or a \$1.6bn/mo. avg, which is roughly 55% of the FY25 monthly average of \$2.9bn/mo.



Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

Default data by issuer type

	Total Lev. Credit Mkt				Bond only				Bond & Loan				Loan Only			
	No.	\$bn	lef. rate %	# def. rate %	No.	\$bn	lef. rate %	# def. rate %	No.	\$bn	lef. rate %	# def. rate %	No.	\$bn	lef. rate %	# def. rate %
2008	89	84.1	5.01%	5.52%	35	46.7	5.74%	8.98%	17	25.9	7.02%	3.95%	37	11.5	4.01%	3.30%
2009	158	204.3	8.74%	12.34%	59	26.0	10.06%	4.47%	44	151.2	19.05%	23.39%	55	27.1	5.55%	6.34%
2010	52	24.7	2.79%	1.50%	20	9.6	3.06%	1.50%	8	4.8	3.52%	0.72%	24	10.4	2.44%	2.94%
2011	31	22.1	1.70%	1.34%	20	18.4	2.84%	2.64%	5	2.0	2.03%	0.29%	6	1.7	0.68%	0.64%
2012	51	26.8	2.94%	1.56%	21	13.3	2.91%	1.83%	4	4.4	1.52%	0.61%	26	9.1	3.47%	3.47%
2013	27	18.3	1.58%	0.99%	14	4.3	1.92%	0.60%	4	8.2	1.39%	0.99%	9	5.8	1.29%	1.93%
2014	35	72.9	1.93%	3.59%	19	9.1	2.57%	1.16%	6	58.6	1.92%	6.61%	10	5.5	1.31%	1.50%
2015	66	53.0	3.57%	2.48%	43	20.9	5.99%	2.58%	14	28.0	4.49%	3.10%	9	4.2	1.10%	0.97%
2016	93	68.6	5.17%	3.16%	66	37.7	10.06%	4.91%	12	23.9	3.93%	2.53%	15	7.0	1.79%	1.52%
2017	47	36.8	2.61%	1.63%	22	10.3	3.57%	1.39%	10	19.6	3.24%	1.95%	15	6.9	1.71%	1.37%
2018	32	43.1	1.71%	1.82%	17	10.9	2.91%	1.50%	9	26.1	2.87%	2.52%	6	6.1	0.62%	1.02%
2019	53	59.3	2.76%	2.47%	20	18.7	3.66%	2.76%	14	31.8	4.50%	3.09%	19	8.8	1.79%	1.28%
2020	109	141.4	5.55%	5.58%	41	41.4	7.32%	5.24%	20	70.4	6.49%	6.95%	48	29.6	4.38%	4.05%
2021	23	13.9	1.13%	0.49%	9	4.6	1.49%	0.49%	3	4.4	0.93%	0.41%	11	4.9	0.99%	0.59%
2022	35	47.8	1.71%	1.64%	12	10.7	2.35%	1.37%	6	23.9	2.05%	2.22%	17	13.1	1.61%	1.50%
2023	88	85.9	4.62%	3.08%	27	23.9	4.98%	3.43%	12	36.3	4.42%	3.05%	49	25.7	4.69%	2.86%
2024	85	83.7	4.65%	3.05%	15	6.9	2.74%	1.07%	15	39.1	4.50%	3.26%	55	37.6	5.79%	4.20%
2025	61	69.4	3.50%	2.45%	17	16.6	3.23%	2.32%	10	24.2	3.01%	2.01%	34	28.6	3.84%	3.13%
2026	27	33.1	3.52%	2.58%	8	14.1	2.89%	2.11%	5	10.7	3.29%	2.36%	14	8.3	3.97%	3.24%
LTM	55	74.2	3.22%	2.54%	19	27.7	3.63%	3.75%	11	27.1	3.29%	2.16%	25	19.5	2.93%	2.08%
Total	1164	1,192.6			486	344.4			219	596.4			459	252.0		
Average rates			3.43%	3.04%			4.30%	2.68%			4.27%	3.76%			2.61%	2.37%
Average size		\$1.0bn				\$709mn				\$2.7bn				\$549mn		
Percent of total defaults					42%	29%			19%	50%			39%	21%		

Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

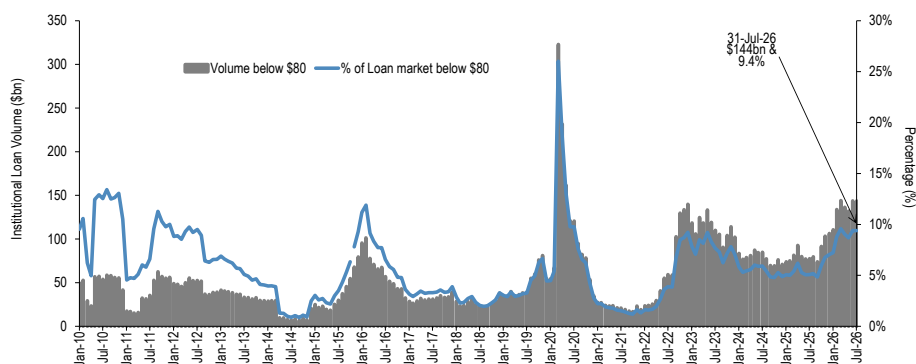
Year to date default activity by Industry

YTD Industry (inc Dist. Exch.)	Amt affected (\$mn)		No. of actions		LTM combined HY and Loan default rate
Automotive	514.0	1.4%	1	3.4%	4.76%
Broadcasting	1,093.2	3.0%	4	13.8%	2.96%
Cable and Satellite	9,750.0	26.7%	1	3.4%	8.20%
Chemicals	4,227.6	11.6%	2	6.9%	4.69%
Consumer Products	205.0	0.6%	1	3.4%	3.91%
Diversified Media	0.0	0.0%	0	0.0%	0.00%
Energy	300.0	0.8%	1	3.4%	2.61%
Financial	0.0	0.0%	0	0.0%	0.57%
Food and Beverages	0.0	0.0%	0	0.0%	0.88%
Gaming and Leisure	0.0	0.0%	0	0.0%	0.00%
Healthcare	3,763.5	10.3%	5	17.2%	2.26%
Housing	0.0	0.0%	0	0.0%	0.00%
Industrials	3,474.8	9.5%	2	6.9%	2.21%
Metals and Mining	0.0	0.0%	0	0.0%	0.00%
Paper and Packaging	4,699.2	12.9%	2	6.9%	10.15%
Retail	2,212.9	6.1%	1	3.4%	9.90%
Services	590.0	1.6%	2	6.9%	1.65%
Technology	4,110.7	11.2%	5	17.2%	2.39%
Telecommunications	1,313.4	3.6%	1	3.4%	2.53%
Transportation	289.5	0.8%	1	3.4%	1.70%
Utility	0.0	0.0%	0	0.0%	0.00%
Total	36,543.7		29		2.54%

Source: J.P. Morgan; PitchBook Data, Inc; Bloomberg Finance L.P.; S&P/IHS Markit

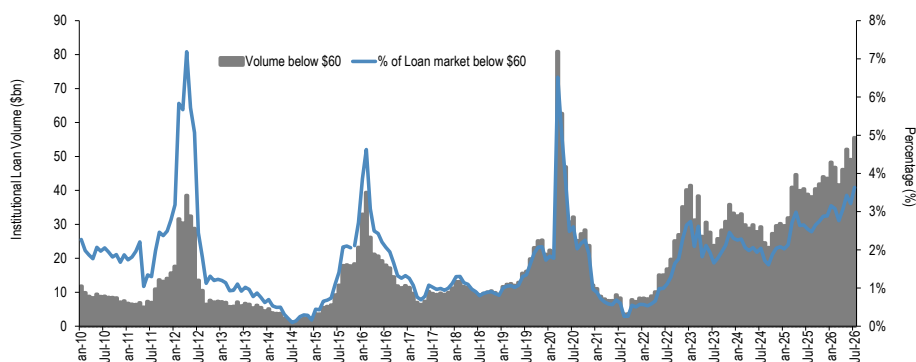
Distressed Loan Universe

The amount of loans trading at or below \$80 decreased by **-\$0.1bn m/m** to **\$143.6bn** or **9.4%** outstanding



Source: J.P. Morgan; S&P/IHS Markit

The universe of loans trading sub-\$60 increased by +\$6.5bn to \$55.5bn (or 3.6%), a high since April 2020



Source: J.P. Morgan.; S&P/IHS Markit

Composition of distressed loan universe

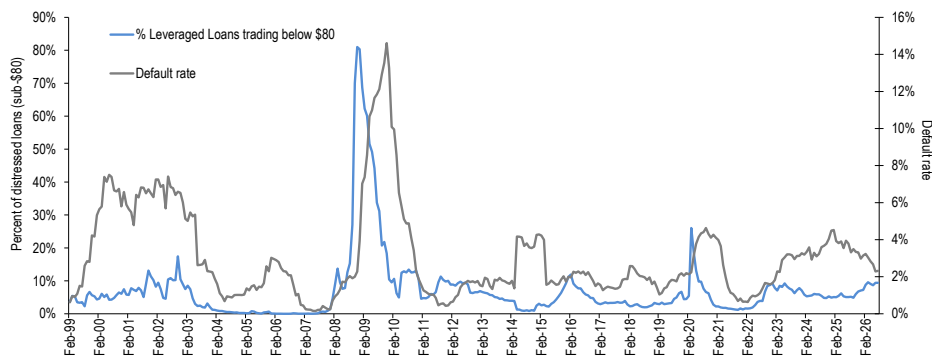
Distressed loans	31-Jul-25	30-Jan-26	30-Jun-26	31-Jul-26	Change		
					1-month	6-months	12-months
# of issuers	105	132	142	148	6	16	43
# of loans	145	185	204	204	0	19	59
Par amount (\$bn)	\$77.5bn	\$110.6bn	\$143.7bn	\$143.6bn	-\$0.1bn	\$32.9bn	\$66.1bn
Market value (\$bn)	\$43.8bn	\$61.5bn	\$86.3bn	\$86.0bn	-\$0.3bn	\$24.6bn	\$42.2bn
Average price	\$62.97	\$65.37	\$65.57	\$65.42	-\$0.15	\$0.06	\$2.45
Coupon	9.67%	8.93%	8.64%	8.57%	-7bp	-36bp	-110bp
Yield to 3yr	34.92%	46.94%	32.74%	33.78%	105bp	-1316bp	-114bp
Spread to 3yr	3132bp	4360bp	2882bp	2972bp	90bp	-1388bp	-159bp
Years to maturity	3.20yrs	3.17yrs	3.17yrs	3.31yrs	0.14yrs	0.14yrs	0.11yrs
Distressed ratio	5.07%	7.23%	9.39%	9.40%	0bp	216bp	432bp

Source: J.P. Morgan.; S&P/IHS Markit

This analysis includes historical volumes and percentage of institutional loans trading at or below \$80, \$70, and \$60 since 2010. Also included are the historical % of leveraged loans trading sub-\$80 vs. default rates and a breakdown of distressed loans by industry. **The distressed universe of leveraged loans declined modestly m/m off a high since May 2020. Specifically, the amount of loans trading at or below \$80 decreased by -\$0.1bn m/m to \$143.6bn or 9.4% outstanding.** For context, the amount of sub-\$80 loans stood at \$78bn a year ago, \$140bn at YE22, and \$323bn in March 2020. **There are now 148 LL issuers trading sub-\$80, +6 issuers m/m and +43 issuers yoy.** Up +\$66.1bn yoy, 5.1% of the LL universe traded sub-\$80 a year ago and 9.2% at YE22. **Of the \$143.6bn of leveraged loans classified as distressed, 45% is Technology, 12% is Services, and 10% is Healthcare. Notably, the Tech sector has \$64.2bn of distressed loan debt (-\$1.6bn m/m). The largest contributors to the sub-\$80 loan universe are KASEYA, CDK, QLIK, MAGBUY, CNR, and BSPEED.** The composition of the \$143.6bn distressed loan universe (sub-\$80) includes 148 issuers (+6 issuers m/m) and 204 loans (flat m/m). The cohort of loans maintained an average price, coupon, and yield (three-year) of \$65.42, 8.57%, and 33.78%, respectively, compared with \$65.37, 8.93%, and 46.94% six months ago (Jan-26). Historically, in the 62 examples where the distressed universe accounted for 7% to 11% outstanding, the average default rate 12 months forward was 3.4%. **And over the past decade, the default rate 12-months forward has equated to 60% of the beginning period universe of sub-\$80 loans.** During the GFC the % of the loan market that traded below \$80 peaked at 81% (Dec-08) and during the 2000-02 recession the % peaked at 17.4% (Oct-02). **Meanwhile, the universe of loans trading sub-\$60 increased by +\$6.5bn to**

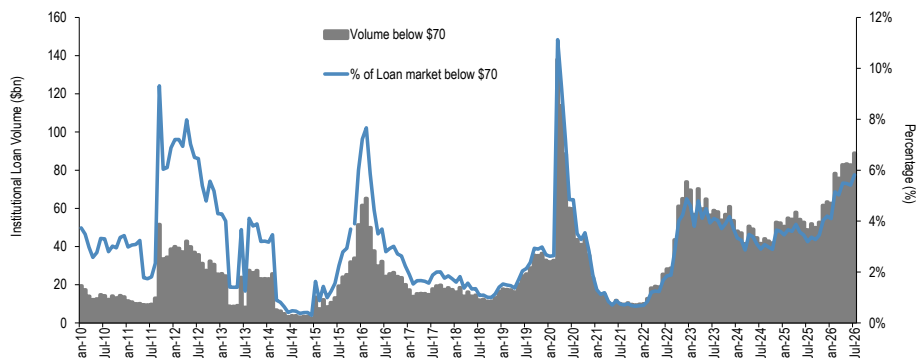
\$55.5bn (or 3.6%), a high since April 2020. As well, the sub-\$70 universe rose by + \$6.2bn m/m to \$88.9bn (5.8% of the universe) to a high since April 2020. Meanwhile, the sub-\$90 universe of loans decreased by -\$14.8bn m/m to \$219.0bn (14.3%). **YTD, distressed loans are severely underperforming performing loans by 920bp (-6.6% vs +2.7%).** Note distressed loans (JLLILT80 INDEX) significantly underperformed (JLLIPERF INDEX) performing loans in 2025 by 2538bp (-18.7% vs +6.7%).

The distressed universe of leveraged loans declined modestly m/m off a high since May 2020



Source: J.P. Morgan.; S&P/IHS Markit

The sub-\$70 universe rose by +\$6.2bn m/m to \$88.9bn (5.8% of the universe) to a high since April 2020



Source: J.P. Morgan.; S&P/IHS Markit

Price bucket breakdown for leveraged loans

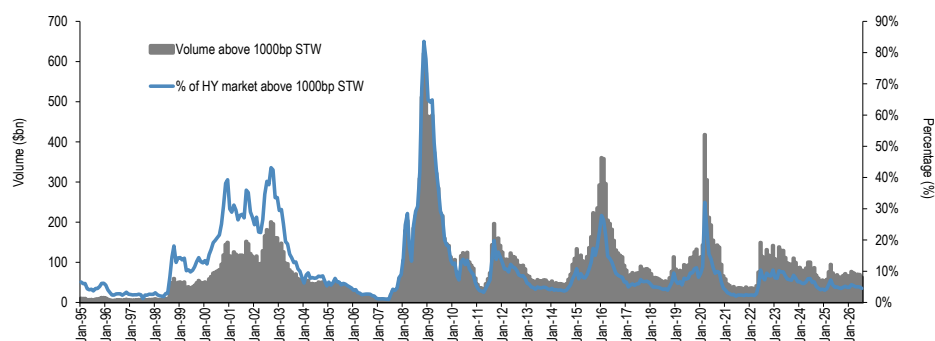
Institutional Loans							
			No.	Avg.	Change in volume		
endprice	(\$bn)		issuers	endprice	1 mo.	6 mo.	12 mo.
\$ < 60	55.5	3.6%	67	36.7	6.4	7.3	16.7
60 <= \$ < 70	33.4	2.2%	31	65.8	-0.2	19.0	23.5
70 <= \$ < 80	54.7	3.6%	50	75.4	-6.3	6.6	25.9
80 <= \$ < 90	75.5	4.9%	72	86.1	-14.8	-13.9	-2.1
90 <= \$ < 100	849.8	55.6%	608	97.8	-128.4	-126.9	131.6
\$ >= 100	459.4	30.1%	349	100.3	141.8	106.4	-194.2
Total	1,528.2		1,177	91.8	-1.5	-1.5	1.4

Second Lien Term Loans							
			No.	Avg.	Change in volume		
endprice	(\$bn)		issuers	endprice	1 mo.	6 mo.	12 mo.
\$ < 60	6.3	20.6%	17	33.3	1.2	3.7	2.7
60 <= \$ < 70	5.2	17.2%	9	64.3	-1.3	3.2	1.8
70 <= \$ < 80	3.1	10.3%	3	76.4	0.0	-1.3	2.3
80 <= \$ < 90	3.9	12.7%	14	85.9	0.5	-1.9	-1.9
90 <= \$ < 100	11.1	36.3%	19	95.2	-1.4	-4.6	-9.1
\$ >= 100	0.9	2.9%	1	100.7	0.0	-4.4	-6.4
Total	30.5		63	73.2	-1.0	-5.4	-10.6

Source: J.P. Morgan.; S&P/IHS Markit

Distressed Bond Universe

The volume of bonds trading 1000bp+ decreased by -\$6.7bn m/m to \$62.8bn or 4.5% of the universe



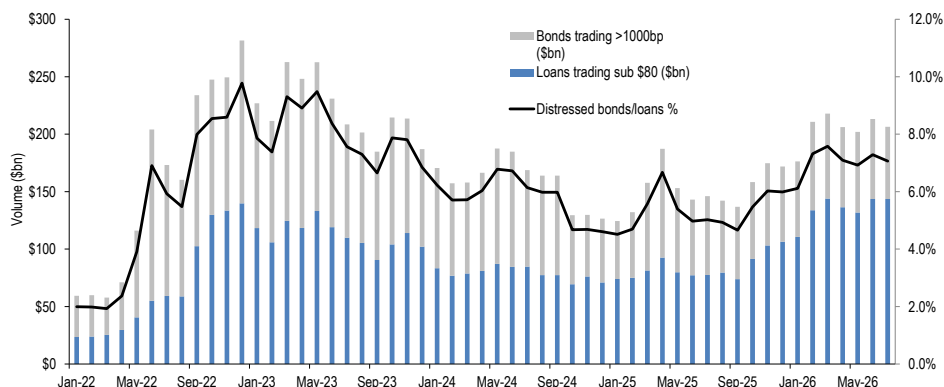
Source: J.P. Morgan.

Composition of distressed bond universe

Distressed HY bonds	31-Jul-25	30-Jan-26	30-Jun-26	31-Jul-26	Change		
					1-month	6-months	12-months
# of issuers	77	70	72	68	-4	-2	-9
# of bonds	142	138	141	131	-10	-7	-11
Par amount (\$bn)	\$68.7bn	\$65.7bn	\$69.5bn	\$62.8bn	-\$6.7bn	-\$2.9bn	-\$5.8bn
Market value (\$bn)	\$43.3bn	\$40.6bn	\$40.9bn	\$35.8bn	-\$5.2bn	-\$4.8bn	-\$7.6bn
Average price	\$69.85	\$69.42	\$67.42	\$65.46	-\$1.96	-\$3.96	-\$4.39
Coupon	8.02%	8.04%	8.23%	8.37%	14bp	32bp	35bp
YTW	24.53%	24.86%	34.16%	31.14%	-302bp	628bp	661bp
STW	2029bp	2016bp	2538bp	2625bp	87bp	610bp	596bp
Years to maturity	3.58yrs	3.65yrs	3.41yrs	3.31yrs	-0.10yrs	-0.35yrs	-0.27yrs
Distressed ratio	4.97%	4.85%	4.98%	4.51%	-48bp	-34bp	-46bp

Source: J.P. Morgan.

The combined distressed universe of bonds/loans (STW 1000bp+/sub-\$80) decreased by -\$6.8bn in July to \$206.4bn or 7.1% of leveraged credit



Source: J.P. Morgan.

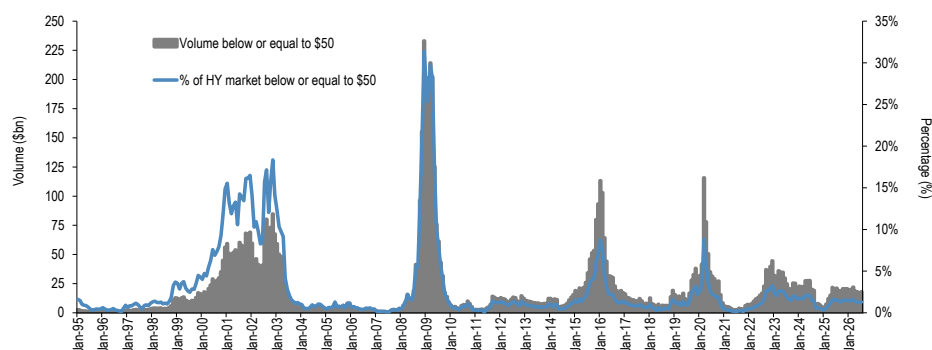
Combined bond and loan distressed universe by industry

	Combined Distressed (\$bn)	Bonds (bn)	Loans (\$bn)	% of total distressed debt	% of Total Sector Debt
Automotive	2.7	0.1	2.6	1.3%	2.7%
Broadcasting	4.0	2.6	1.4	1.9%	7.6%
Cable/Satellite	23.1	19.1	4.0	11.2%	23.2%
Chemicals	7.6	3.3	4.3	3.7%	8.2%
Consumer Products	4.5	2.3	2.2	2.2%	5.9%
Diversified Media	4.3	0.9	3.4	2.1%	3.7%
Energy	0.6	0.6	-	0.3%	0.3%
Financial	2.0	0.8	1.1	1.0%	0.7%
Food/Beverages	5.3	0.1	5.2	2.6%	4.9%
Gaming/Leisure	3.1	2.0	1.0	1.5%	2.0%
Healthcare	20.9	6.7	14.2	10.1%	6.9%
Housing	12.7	5.1	7.6	6.2%	10.5%
Industrials	7.6	2.2	5.3	3.7%	4.4%
Metals/Mining	1.2	1.2	-	0.6%	3.1%
Paper/Packaging	2.9	1.3	1.6	1.4%	3.3%
Retail	2.5	0.6	1.9	1.2%	3.5%
Services	21.7	4.1	17.6	10.5%	8.3%
Technology	71.4	7.2	64.2	34.6%	17.9%
Telecommunications	6.9	1.6	5.3	3.3%	19.1%
Transportation	1.7	1.1	0.5	0.8%	2.4%
Utility	-	-	-	0.0%	0.0%
Total (\$bn)	206.4	62.8	143.6		

Source: J.P. Morgan.

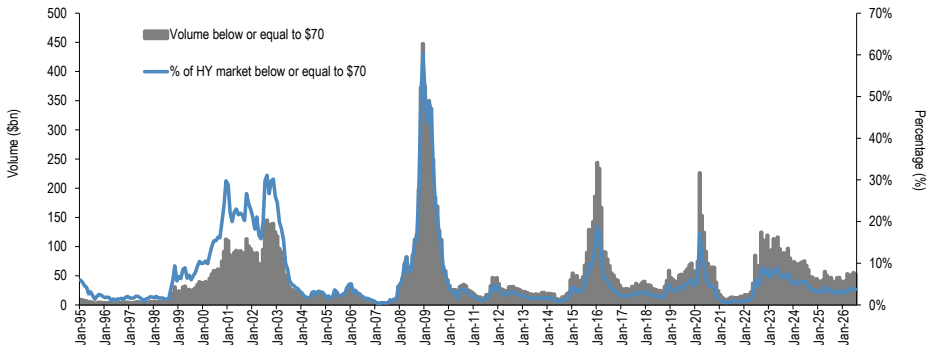
This analysis graphs historical volume and percentage of high-yield bonds trading at or below \$90, \$70, \$50, \$25, and wide of 1000bp. There is also a chart which includes the distressed ratio (1000bp+) versus the default rate. **Specifically, the volume of bonds trading 1000bp+ decreased by -\$6.7bn m/m to \$62.8bn or 4.5% of the universe.** Note the distressed universe had peaked in 2025 on April 7th at \$111bn which was a high since June 2023. Down -\$5.8bn yoy, the universe of bonds trading wide of 1000bp of \$62.8bn compares to a multi-year high \$149bn in June 2022 and as high as \$418bn or 32.0% in March 2020. For reference, 4.3% of the HY universe traded 1000bp+ at YE24. **And there are now 68 HY issuers trading 1000bp+, -4 m/m and down 9 issuers yoy. Cable/Satellite bonds account for 30% of bonds trading 1000bp+, which is followed by Technology (11%) and Healthcare (11%). The largest contributors to bonds trading 1000bp+ are CSCHLD, BHCCN, HTZ, XRX, CNR, CDK, and BALY.** These issuers account for 47% of the universe. Historically, a 1000bp+ bond universe of 6-8% has produced an average 12M forward default rate of 2.3% (50 examples). The composition of the \$62.8bn distressed HY universe (>1000bp) includes 68 issuers (-4 m/m) and 131 bonds (-10 m/m). The cohort of bonds maintained an average price, coupon, and YTW of \$65.46, 8.37%, and 31.14%, respectively, compared with \$69.42, 8.04%, and 24.86% six months ago (Jan-26). **Meanwhile, the amount of bonds trading sub-\$70 decreased by -\$3.3bn m/m to \$52.1bn or 3.7% of the non-defaulted universe.** For context, the sub-\$70 universe has grown +\$11.5bn YTD, stood at \$24bn at year-end 2020, \$75bn in Feb-20 (pre-pandemic) and reached \$226bn in Mar-20. **Notably, the sub-\$25 universe increased +\$1.7bn m/m and +\$6.8bn over the past 3 months to \$10.0bn (0.7%) which is a 43-month high.** Cable/Satellite is the largest component of this cohort (61%), which is followed by Telecom (12%). Meanwhile, the sub-\$50 universe increased by +\$0.9bn m/m to \$18.1bn (or 1.3% of the universe) versus \$42bn before 2020's recession. **The sub-\$90 universe increased by +\$3.0bn m/m to \$144.2bn, or 10.3% of the non-defaulted universe, which was at a multi-year low 7.8% in September.** This is now \$390bn below the \$534bn or 40.9% of the HY universe which traded sub-\$90 in March 2020. **Note the combined distressed universe of bonds/loans (STW 1000bp+/sub-\$80) decreased by -\$6.8bn in July to \$206.4bn or 7.1% of leveraged credit. Technology (\$71bn, 35%) and Cable/Satellite (\$23bn, 11%) account for the largest portion of this cohort.** Note 17.9% of the Technology sector (B&L) is trading at distressed levels.

The sub-\$50 universe increased by +\$0.9bn m/m to \$18.1bn (or 1.3% of the universe) versus \$42bn before 2020's recession



Source: J.P. Morgan.

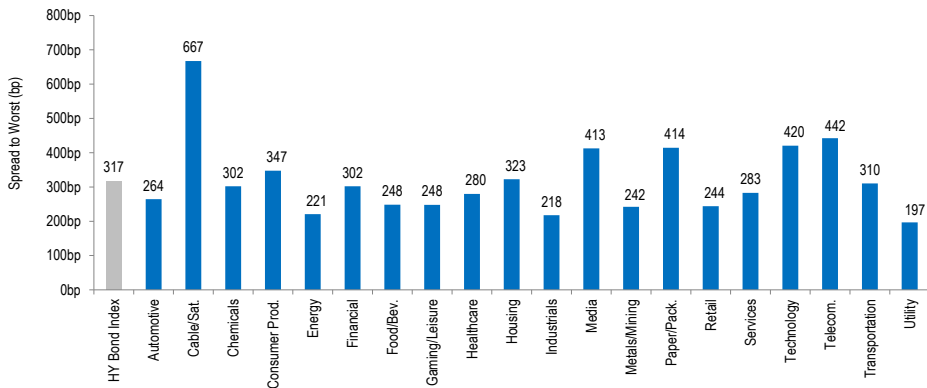
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Source: J.P. Morgan.

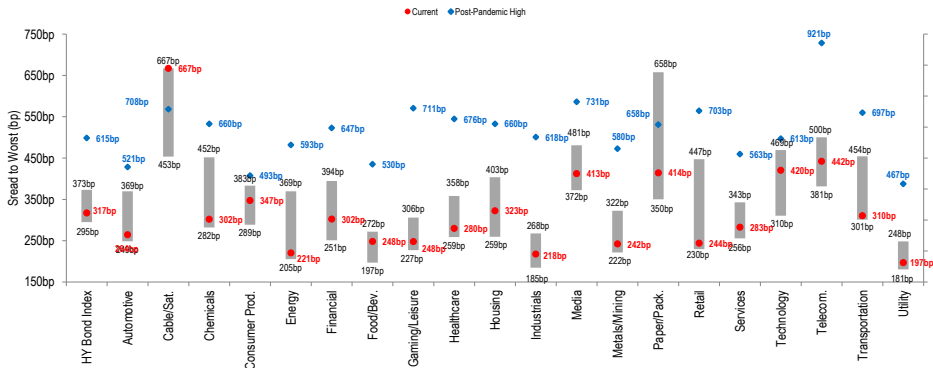
High Yield and Leveraged Loan Industry Spreads

High-yield spreads of 317bp are 56bp inside their March wide and traded as low as 295bp (post-GFC low) on January 22nd, and in a range of 78bp over the last 12 months



Source: J.P. Morgan.

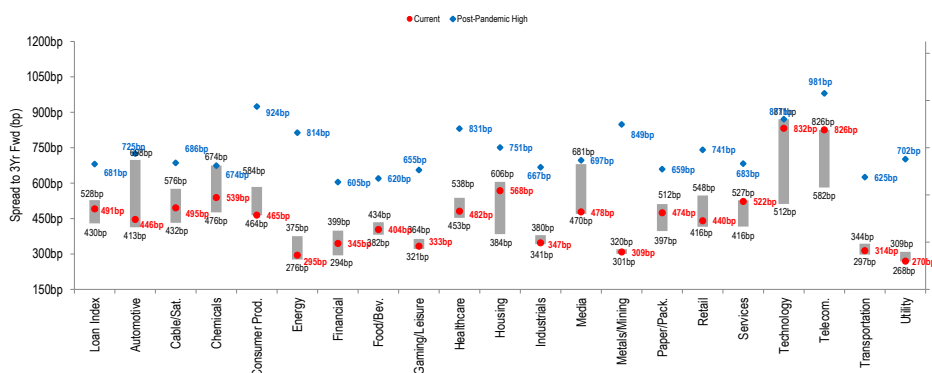
LTM high yield spreads by industry



Source: J.P. Morgan.

The following analysis looks at current industry spreads for the high-yield bond and leveraged loan indices versus the range over the last twelve months. **Current high-yield spreads of 317bp are 56bp inside their March wide and traded as low as 295bp (post-GFC low) on January 22nd, a range of 78bp over the last 12 months. Thus, HY spreads lie at 29% of the LTM range.** How does this look by industry? Notably, **9 of the 20 industries trade between 20% and 40%.** That said, **three sectors trade at the tight end of their range (<10%), including Transportation (6%), Retail (7%), and Energy (9%).** Meanwhile, **five sectors trade above their mid-point range with Cable/Sat. (100%), Technology (69%), and Food/Bev. (68%) trading at the widest levels within their ranges.** Which sector has had the widest range of spreads over the last twelve months (i.e. most volatile)? **Paper/Pack. bond spreads traded as wide as 658bp and as low as 350bp, a gap of 307bp, the widest of all sectors by a large margin.** The next three widest spread ranges are **Retail (218bp), Cable/Sat. (214bp), and Chemicals (170bp).** Which sector had the tightest spread range over the last twelve months (i.e. most stable)? **Utility spreads of 197bp traded as wide as 248bp and as low as 181bp, a 68bp range; Food/Bev. (75bp) and Gaming/Leisure (79bp) have also traded in relatively narrow bands over the LTM period.** Note the three widest trading industries are Cable/Sat. (667bp), Telecom (442bp), and Technology (420bp), while the three sectors providing the least spread are Utility (197bp), Industrials (218bp), and Energy (221bp). What about leveraged loan industry spreads? For context, **leveraged loan spreads (3yr) currently trade at 491bp which are 37bp below their LTM high of 528bp on 3/3; the range of 98bp compares to the 78bp difference for HY.** Loans spreads sit in the third quartile of their range (62%) with **4 industries trading wider than their 70% of range.** However, there are 4 sectors which trade inside 15% of their range, including Consumer Products (1%), Media (4%), Utility (4%), and Autos (12%). There are 7 industries trading at or between 15% and 35% of their LTM range while Telecom (100%), Services (95%), Technology (85%), and Housing (83%) sectors trading at their wide end of the range. Which sector has had the widest range of spreads over the last twelve months? Technology loan spreads of 832bp traded as wide as 871bp and as low as 512bp, a 359bp range. The next two widest spread ranges are Autos (286bp) and Telecom (244bp). Meanwhile, Metals/Mining spreads of 309bp touched as wide as 320bp and as low as 301bp, reflecting the narrowest range of 20bp range. Note the three widest trading industries are Technology (832bp), Telecom (826bp), and Housing (568bp), while the three sectors providing the least spread are Utility (270bp), Energy (295bp), and Metals/Mining (309bp).

LTM leveraged loan spreads by industry



Source: J.P. Morgan.; S&P/IHS Markit

CLO

The following content has been excerpted from Rishad Ahluwalia's *CLO FIMs*, published August 7th, 2026

Liquidity Update

- We recently published a joint piece, partnering with the Index Research team to look at CLOIE index replication. It covers the purpose of replication, tracking error, and how index performance can be matched using a screen for liquid CLO managers. To read more about it, please click [here](#).
- US BWIC is flat YoY whereas Europe saw a significant uptick. Secondary CLO BWIC trading volumes currently stand at \$39.42bn and €10.50bn YTD, or an estimated annualized amount of \$66.61bn and €17.74bn. Comparing YTD BWIC to this time last year yields a YoY change of -2% in the US and +15% in Europe. DNTs (Did Not Trade) are also up on a nominal basis with \$4.64bn / €1.70bn YTD and \$7.83bn / €2.87bn annualized.
- We also update our microstructure liquidity monitor, which tracks US CLO Secondary bid-ask, market impact, and a general liquidity metric that combines the two. Liquidity has remained generally flat over the past few months, though better than at the start of 2026. The most recent reading of -1.07 standard deviations below the Bid-Ask/Market-Impact sample mean puts the market at the 14th percentile using a 3y window and the 10th percentile using a 5y window, lower (better) than the majority of the two sample periods.

Week in Review

High Yield and Leveraged Loan Summary

- **Spreads and yields** – High-yield bond yields decreased 13bp to 7.36%, while spreads decreased 13bp to 304bp. Five-year Treasury yields increased 2bp to 4.39% and 10-year Treasury yields increased 1bp to 4.67%. Leveraged loan yields (to 3-year takeout) decreased 3bp to 8.93%, while spreads decreased 4bp to 491bp.
- **Performance** – High-yield bonds and leveraged loans returned +0.55% and +0.25% for the week, while equities (the S&P 500) returned +3.68%, investment-grade bonds returned +0.31% and emerging market bonds returned +0.86%. Year-to-date, high yield bonds and loans have provided gains of +2.42% and +2.52%, while 10-year Treasuries, investment-grade bonds, emerging market bonds, and the S&P 500 have returned -1.45%, -0.29%, +2.13%, and +13.36%, respectively.
- **New issue activity** – Six high yield bond deals priced this week for \$3.3bn compared with 5 new issues last week totaling \$3.5bn. Year to date, HY volume totals \$208.2bn (\$90.7bn ex-refi). As for the loan primary market, 16 new loans priced this week totaling \$14.2bn. Year to date, loan issuance totals \$523.1bn (\$134.5bn ex-refi/repricing).
- **CLO issuance activity** – Nineteen US CLOs priced this week totaling \$9.9bn, comprising six new CLOs totaling \$3.4bn and 13 reset/refinancing deals totaling \$6.5bn. Year to date, 630 US CLOs have priced totaling \$279.9bn (\$97.4bn ex-refinancing and \$182.5bn refinancing).
- **Demand** – High Yield funds reported inflows of +\$2.0BN for the week ending August 5th, equating to +0.68% of weekly AUM. Notably, this is the 2nd largest weekly inflow for the HY asset class in 16 weeks. By fund type, actively managed funds (AMs) reported an inflow of +\$204mn, while HY ETFs reported their largest inflow in 16 weeks of +\$1.8BN. Month-to-date inflows for HY funds total +\$1.5BN (+\$389mn AMs, +\$1.2BN ETFs), which follows +\$509 of inflows in July (+\$304mn AMs, +\$205mn ETFs). And YTD flows for HY funds total +\$2.3BN (+\$393mn AMs, +\$2.0BN ETF), compared with +\$12.5BN of inflows over the same period last year. Loan funds reported inflows of +\$797mn for the week ending August 5th, a sixth consecutive weekly inflow totaling a cumulative +\$3.4BN over the period. For the week, ETFs reported an inflow of +\$454mn (+\$535mn CLO ETF, -\$81mn loan ETF), their nineteenth inflow in twenty weeks. Meanwhile, AMs reported their largest weekly inflow since Feb 2025 of +\$343mn. This brings the total weekly inflow for loan-dedicated products to +\$262mn (+\$343mn AM, -\$81mn Loan ETFs), vs -\$200mn last week. MTD Loan flows total +\$764mn following +\$7.5BN of inflows over the prior four months. YTD, inflows for the loan asset class total +\$5.5BN (-\$6.3BN ex-CLO ETF) compared to a +\$7.2BN inflow over the same period last year (-\$3.1BN ex-CLO ETF).
- **Default activity** – The par-weighted high yield default rate is currently 1.97% (2.77% including distressed exchanges), while for loans the par-weighted default rate is 1.33% (2.32% including distressed exchanges). Most recent defaults include Hughes Satellite Systems (\$1.5bn, 8/2/2026), Unifrax Investment (\$3.1bn, 7/26/2026), Dish DBS (\$9.75bn, 6/30/2026), Inotiv (\$267mn, 6/3/2026), and QVC Group (\$2.2bn, 4/16/2026).

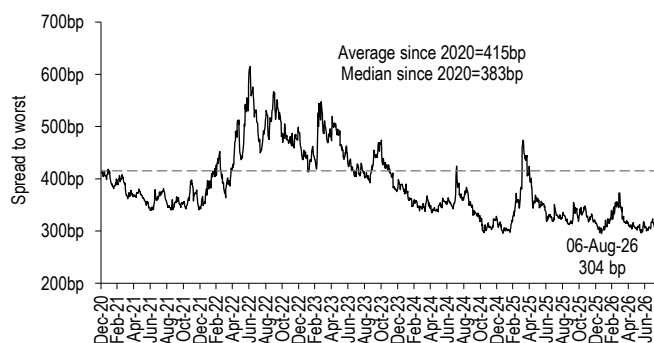
High Yield Spreads and Yields

Spread to Worst

	JPM HY Bond Index	BB	B	CCC	NR	B/BB	CCC/B
29-Dec-23	377bp	238bp	366bp	872bp	570bp	128bp	506bp
31-Dec-24	325bp	212bp	324bp	682bp	684bp	113bp	357bp
31-Dec-25	314bp	203bp	323bp	757bp	845bp	120bp	434bp
6-Aug-26	304bp	187bp	309bp	892bp	634bp	122bp	583bp
Change							
1Q26	41bp	24bp	61bp	93bp	6bp	37bp	32bp
2Q26	-49bp	-41bp	-60bp	-17bp	-188bp	-18bp	43bp
Week	-13bp	-10bp	-21bp	-8bp	-7bp	-11bp	13bp
MTD	-13bp	-10bp	-21bp	-2bp	-6bp	-12bp	19bp
QTD	-2bp	1bp	-15bp	58bp	-29bp	-16bp	74bp
YTD	-10bp	-16bp	-14bp	135bp	-211bp	2bp	148bp

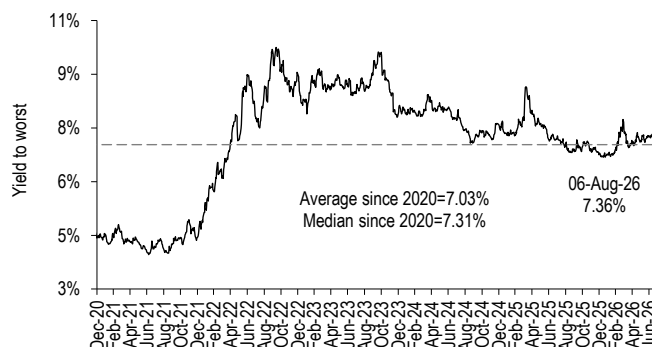
Source: J.P. Morgan.

Spread to worst



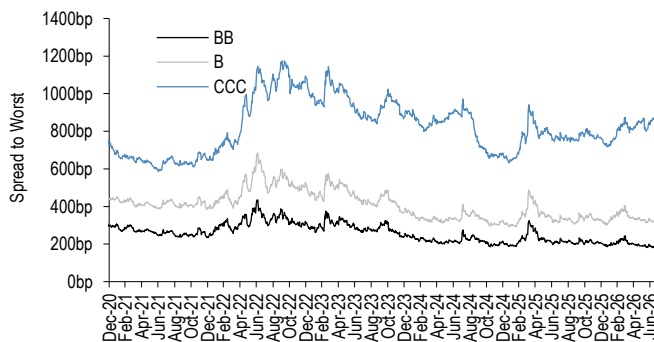
Source: J.P. Morgan.

Yield to worst



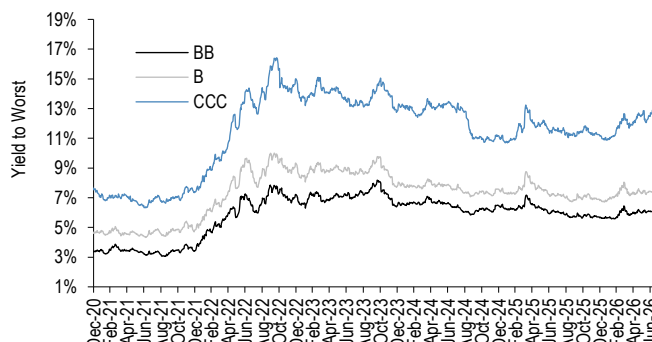
Source: J.P. Morgan.

Spread to worst by rating



Source: J.P. Morgan.

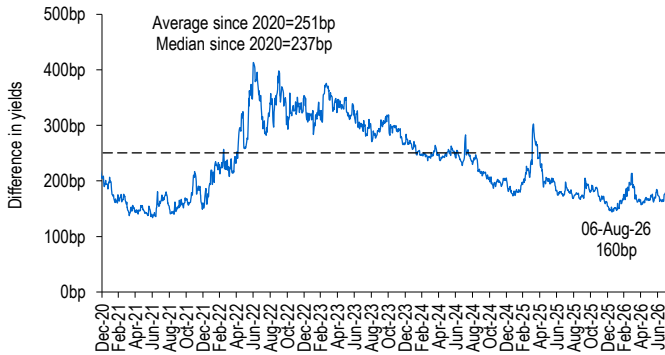
Yield to worst by rating



Source: J.P. Morgan.

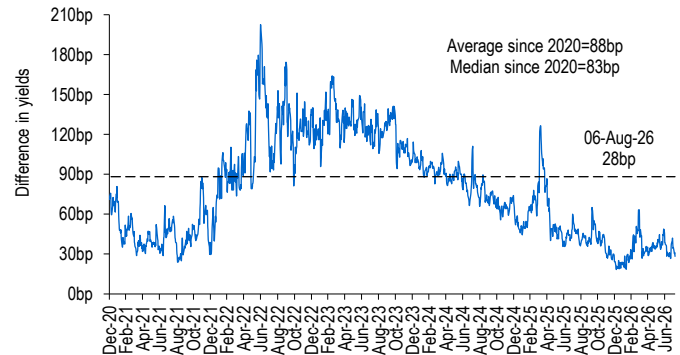
High Yield Spreads

Spread between investment grade & high yield bonds



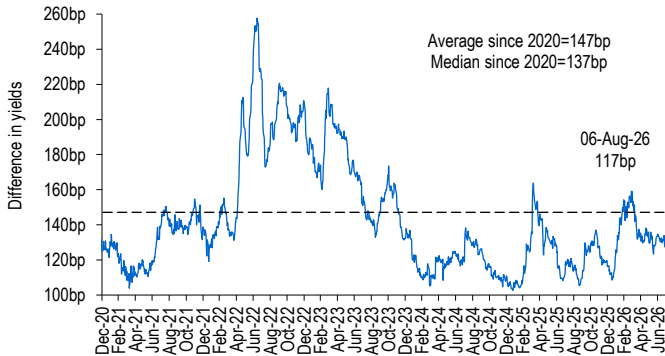
Source: J.P. Morgan.

Spread between bonds rated BBB & BB



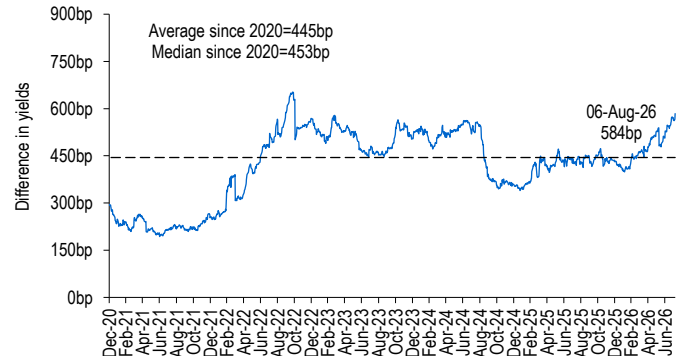
Source: J.P. Morgan.

Spread between bonds rated BB & B



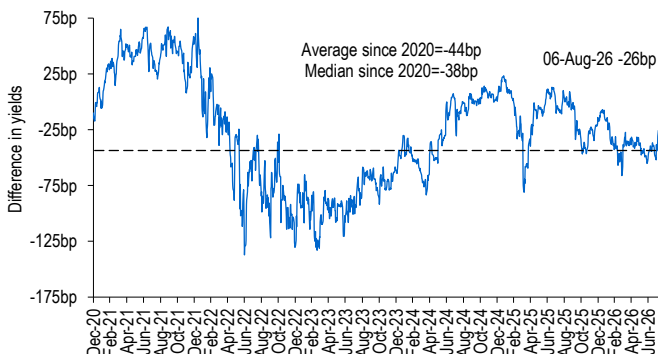
Source: J.P. Morgan.

Spread between bonds rated B & CCC



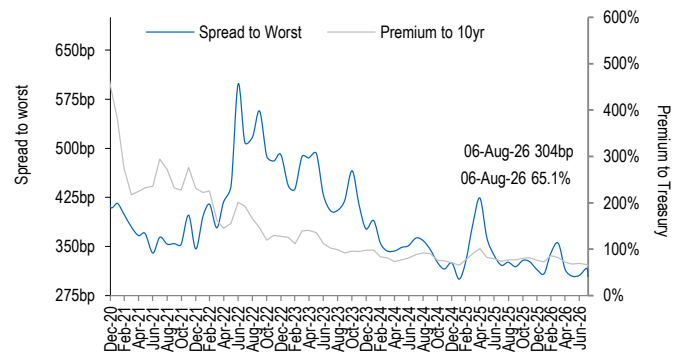
Source: J.P. Morgan.

Spread between High Yield & Emerging Market Bonds



Source: J.P. Morgan.

Premium to 10-Year Treasury



Source: J.P. Morgan.

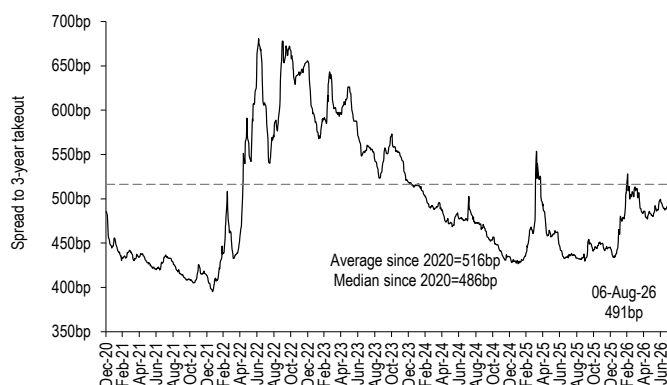
Leveraged Loan Spreads and Yields

Spread to 3-year takeover

	Loan Index	BBB	Split BBB	BB	Split BB	B	Split B/CCC	NR
29-Dec-23	519bp	207bp	218bp	299bp	371bp	469bp	1457bp	792bp
31-Dec-24	435bp	178bp	193bp	242bp	336bp	415bp	1348bp	759bp
31-Dec-25	444bp	170bp	176bp	256bp	317bp	402bp	1722bp	742bp
6-Aug-26	491bp	203bp	187bp	257bp	343bp	468bp	1970bp	783bp
Change								
1Q26	67bp	13bp	9bp	19bp	47bp	97bp	248bp	151bp
2Q26	-12bp	16bp	4bp	-14bp	-26bp	-3bp	-56bp	-86bp
Week	-4bp	1bp	-3bp	-1bp	3bp	-13bp	8bp	6bp
MTD	-4bp	2bp	-4bp	-1bp	3bp	-14bp	2bp	9bp
QTD	-9bp	4bp	-1bp	-4bp	6bp	-28bp	56bp	-24bp
YTD	47bp	33bp	11bp	1bp	26bp	66bp	248bp	41bp

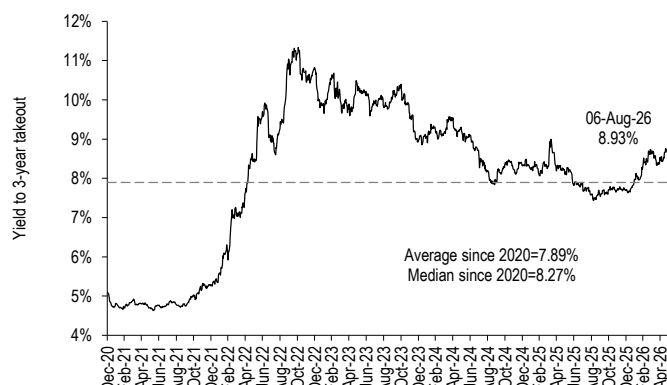
Source: J.P. Morgan; S&P/IHS Markit

Spread to 3-year takeover



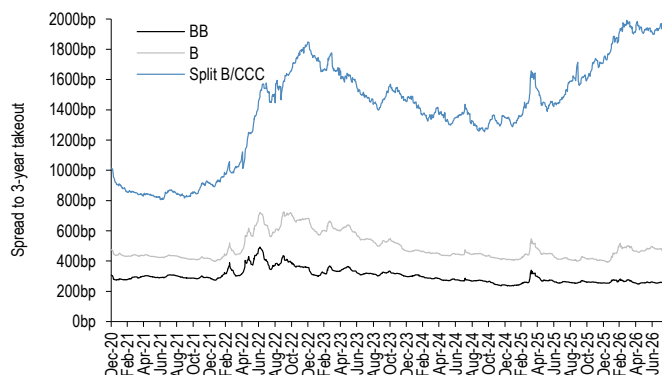
Source: J.P. Morgan; S&P/IHS Markit

Yield to 3-year takeover



Source: J.P. Morgan; S&P/IHS Markit

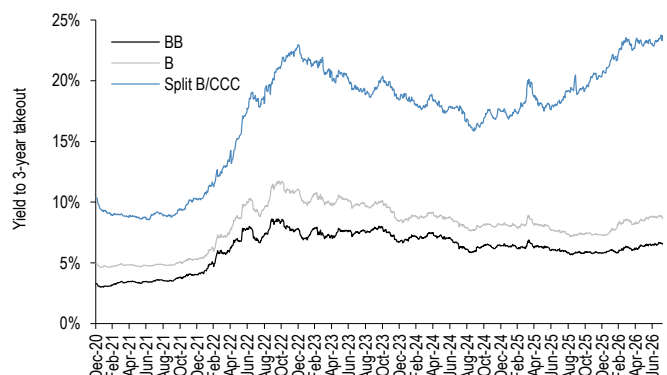
Spread to 3-year takeover by rating



Source: J.P. Morgan; S&P/IHS Markit

Note: Leveraged loan spread and yield analytics are calculated using a forward curve

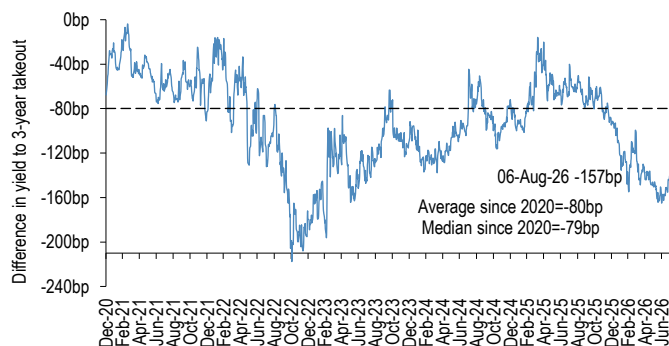
Yield to 3-year takeover by rating



Source: J.P. Morgan; S&P/IHS Markit

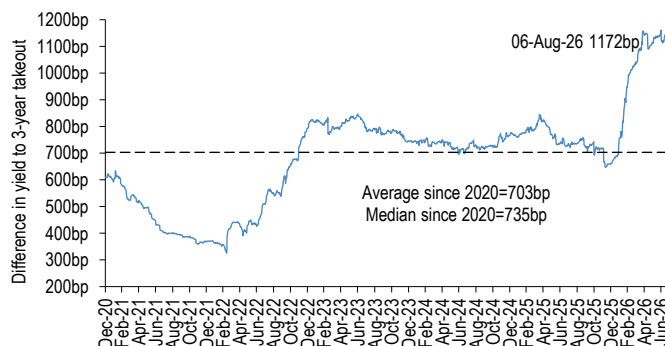
Leveraged Loan Spreads

Spread between high yield bonds & leveraged loans



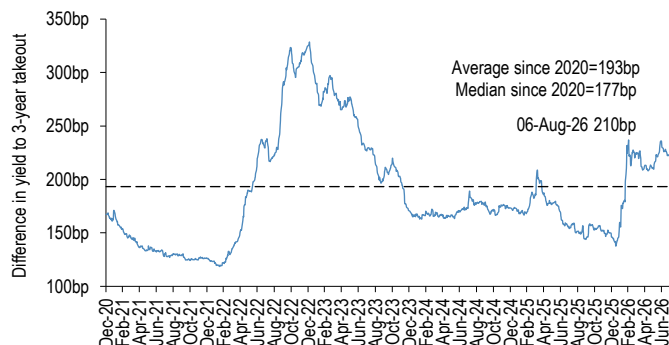
Source: J.P. Morgan; S&P/IHS Markit
 Note: Loan yields are maturity prior to 2011

Spread between second lien loans & institutional loans



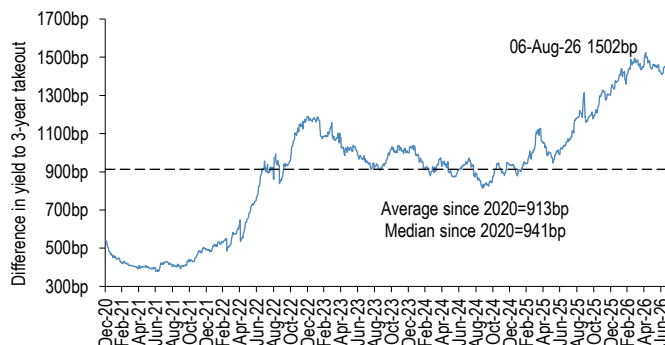
Source: J.P. Morgan; S&P/IHS Markit

Spread between loans rated B & BB



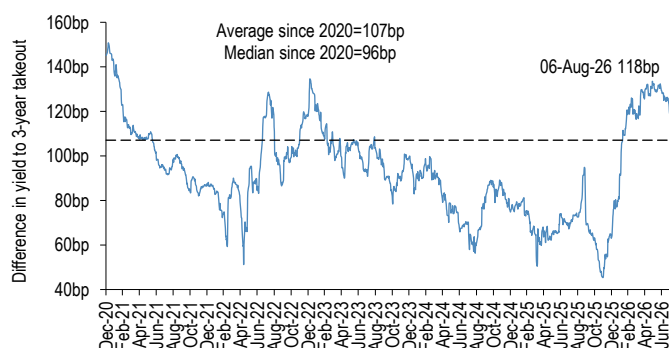
Source: J.P. Morgan; S&P/IHS Markit

Spread between loans rated Spilt-B/CCC & B



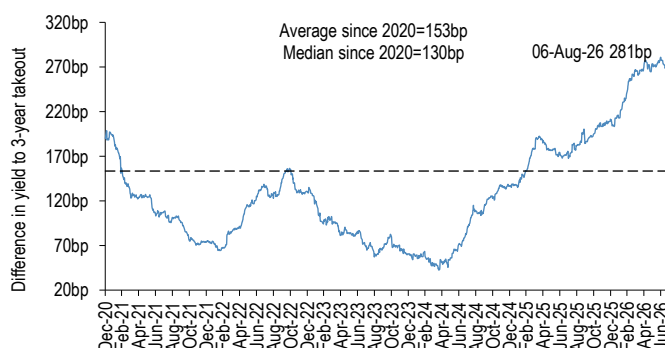
Source: J.P. Morgan; S&P/IHS Markit

Spread between loan-only and loan capital structures



Source: J.P. Morgan; S&P/IHS Markit
 Note: Leveraged loan spreads and yields are calculated using a forward curve

Spread between loans with and without Rate floors

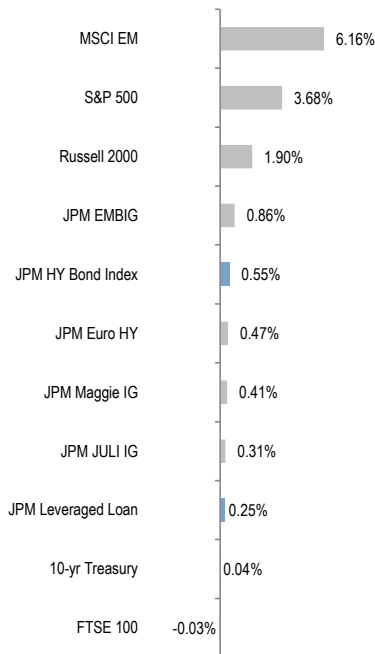


Source: J.P. Morgan; S&P/IHS Markit

Performance

Returns of various assets

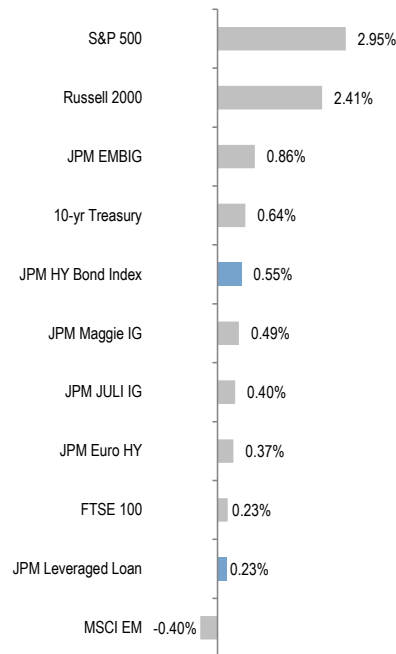
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Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

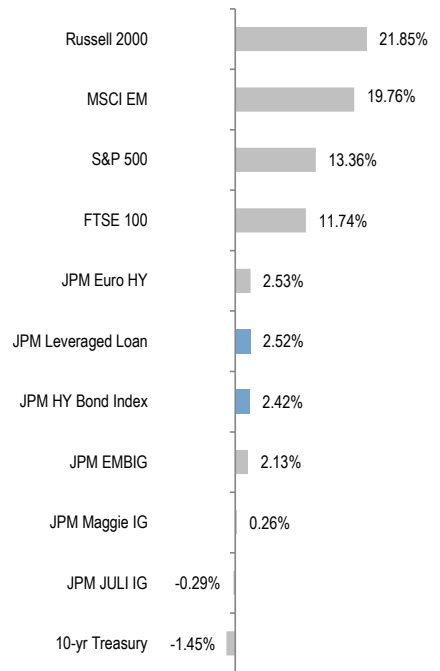
Month-to-date



Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

Year to date



Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

	JPM HY Bond Index	JPM Lev Loan	JPM JULI-IG	10-yr Trsy	JPM EMBI-Globl	S&P 500	Russell 2000	FTSE 100	MSCI EM	CDX HY	CDX IG
1Q26	-0.34%	-0.45%	-0.55%	-0.22%	-1.14%	-4.35%	0.92%	3.43%	-0.13%	-1.68%	-0.22%
2Q26	2.45%	1.93%	1.43%	0.25%	4.03%	15.20%	21.57%	4.01%	24.15%	3.29%	0.71%
Week	0.55%	0.25%	0.31%	0.04%	0.86%	3.68%	1.90%	-0.03%	6.16%	0.36%	0.10%
MTD	0.55%	0.23%	0.40%	0.64%	0.86%	2.95%	2.41%	0.23%	-0.40%	0.27%	0.09%
QTD	0.31%	1.03%	-1.16%	-1.47%	-0.70%	2.88%	-0.68%	3.87%	-3.41%	0.28%	0.05%
YTD	2.42%	2.52%	-0.29%	-1.45%	2.13%	13.36%	21.85%	11.74%	19.76%	1.83%	0.54%

Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of other J.P. Morgan high yield and leveraged loan indices

	JPM Global HY	JPM Developed	JPM US	Dev. BB	Liquid Bond	BB/B Loan	Liquid Loan	2nd Lien	European Loan	Euro Euro	Euro. Currency
1Q26	-0.22%	-0.30%	-0.30%	-0.10%	-0.09%	-0.32%	-1.09%	-6.28%	-0.95%	-1.54%	-1.45%
2Q26	2.76%	2.61%	2.58%	2.47%	2.26%	1.87%	1.52%	0.71%	2.91%	3.76%	3.91%
Week	0.57%	0.57%	0.56%	0.47%	0.62%	0.26%	0.28%	0.33%	0.10%	0.47%	0.47%
MTD	0.55%	0.56%	0.56%	0.47%	0.60%	0.24%	0.27%	0.31%	0.08%	0.37%	0.37%
QTD	0.39%	0.37%	0.41%	0.17%	0.37%	1.07%	1.26%	1.65%	0.31%	0.36%	0.37%
YTD	2.93%	2.68%	2.69%	2.54%	2.55%	2.64%	1.68%	-4.06%	2.24%	2.53%	2.77%

Source: J.P. Morgan; S&P/IHS Markit

Note: The European Currency Index includes euro and sterling denominated corporate bonds, and returns are stated in local currency. The European Aggregate Index includes euro, sterling, and US dollar denominated corporate bonds, and returns are stated in local currency.

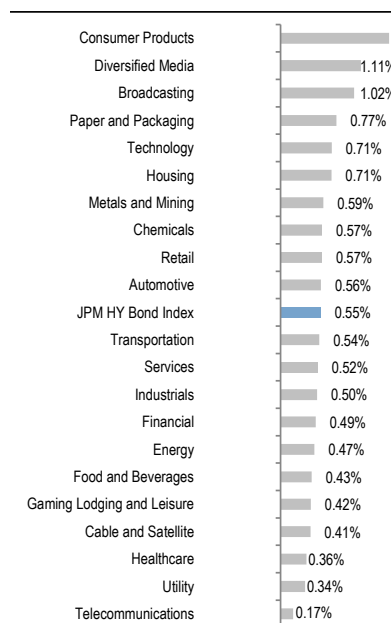
High Yield Performance

Returns by industry and rating

	Automotive	Broad-casting	Cable Satellite	Chemicals	Consumer Products	Diversified Media	Energy	Financial	Food & Beverages	Gaming Leisure	Healthcare
2Q26	3.45%	1.47%	-0.40%	2.73%	2.16%	4.14%	1.54%	2.83%	1.45%	2.77%	2.88%
Week	0.56%	1.02%	0.41%	0.57%	1.50%	1.11%	0.47%	0.49%	0.43%	0.42%	0.36%
MTD	0.50%	1.09%	0.57%	0.59%	1.29%	1.09%	0.45%	0.53%	0.42%	0.44%	0.34%
QTD	0.48%	1.32%	-0.82%	0.38%	0.43%	0.14%	0.78%	0.79%	0.22%	0.17%	0.36%
YTD	2.69%	2.39%	-0.86%	4.81%	1.62%	3.69%	4.85%	1.72%	1.67%	2.29%	3.25%
	Housing	Industrials	Metals Min.	Paper/Pack	Retail	Services	Technology	Telecom.	Trans.	Utility	
2Q26	3.65%	1.85%	2.96%	3.77%	3.43%	2.43%	2.95%	3.28%	1.78%	2.38%	
Week	0.71%	0.50%	0.59%	0.77%	0.57%	0.52%	0.71%	0.17%	0.54%	0.34%	
MTD	0.62%	0.50%	0.59%	0.74%	0.52%	0.55%	0.59%	0.35%	0.59%	0.34%	
QTD	-0.04%	0.58%	0.62%	0.56%	0.59%	0.32%	-0.14%	-0.77%	0.72%	-0.21%	
YTD	1.32%	2.17%	2.39%	-0.21%	3.09%	1.82%	1.56%	4.10%	1.90%	2.51%	
	HY Bond Index	Split BBB	BB	Split BB	B	Split B	CCC	Non-rated	Defaulted		
2Q26		2.45%	2.37%	2.19%	3.52%	2.73%	3.20%	2.23%	6.86%	-21.81%	
Week		0.55%	0.38%	0.46%	0.39%	0.69%	0.95%	0.69%	0.56%	-0.91%	
MTD		0.55%	0.46%	0.49%	0.37%	0.67%	0.90%	0.59%	0.46%	-1.07%	
QTD		0.31%	0.13%	0.14%	0.49%	0.66%	1.10%	-0.33%	1.39%	-0.89%	
YTD		2.42%	3.08%	2.16%	3.75%	2.94%	3.68%	0.71%	15.71%	-58.26%	

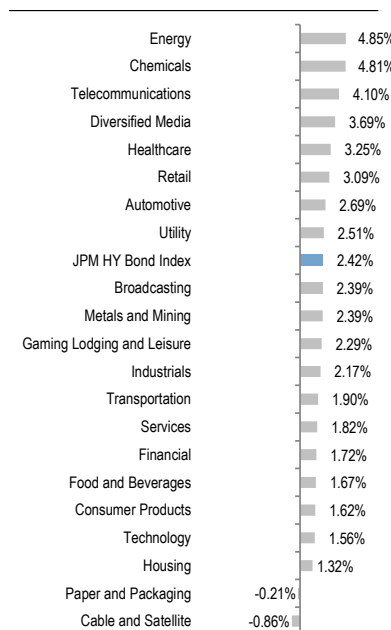
Source: J.P. Morgan

Week



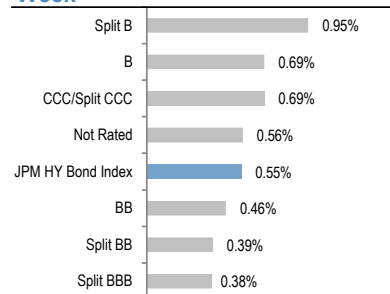
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Year-to-date

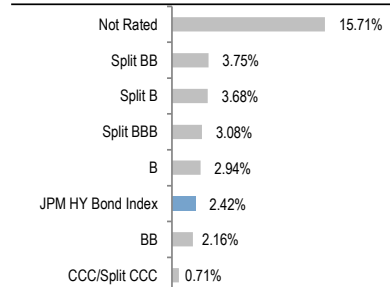


Source: J.P. Morgan.

Week



Year-to-date



Source: J.P. Morgan.

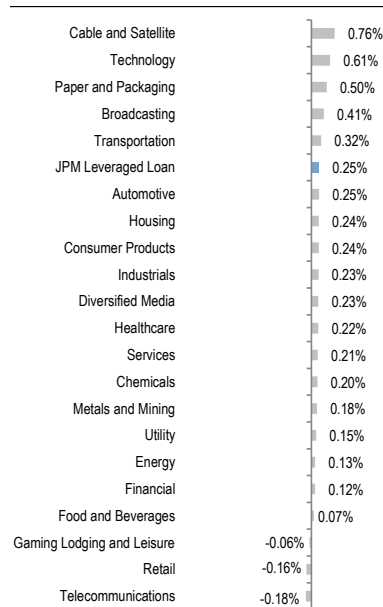
Leveraged Loan Performance

Returns by industry and rating

	Automotive	Broad-casting	Cable Satellite	Chemicals	Consumer Products	Diversified Media	Energy	Financial	Food & Beverages	Gaming Leisure	Healthcare
2Q26	1.95%	3.08%	0.98%	3.61%	3.30%	4.36%	1.95%	1.34%	2.63%	2.09%	1.78%
Week	0.25%	0.41%	0.76%	0.20%	0.24%	0.23%	0.13%	0.12%	0.07%	-0.06%	0.22%
MTD	0.22%	0.43%	0.58%	0.23%	0.21%	0.21%	0.10%	0.10%	0.07%	-0.05%	0.20%
QTD	0.66%	1.15%	-0.29%	1.12%	1.03%	0.72%	0.76%	1.29%	0.86%	0.56%	1.18%
YTD	3.42%	4.93%	1.43%	5.81%	6.13%	5.68%	4.15%	2.43%	3.95%	3.57%	3.47%
	Housing	Industrials	Metals Min.	Paper/Pack	Retail	Services	Technology	Telecom.	Trans.	Utility	
2Q26	2.89%	1.68%	1.87%	3.00%	2.20%	2.29%	0.39%	1.76%	1.82%	1.62%	
Week	0.24%	0.23%	0.18%	0.50%	-0.16%	0.21%	0.61%	-0.18%	0.32%	0.15%	
MTD	0.25%	0.18%	0.17%	0.52%	-0.18%	0.22%	0.52%	-0.05%	0.28%	0.15%	
QTD	0.27%	0.86%	0.87%	0.89%	0.71%	0.79%	2.17%	-0.89%	0.99%	0.81%	
YTD	1.16%	3.31%	4.32%	2.72%	4.00%	2.34%	-2.12%	4.23%	3.51%	3.74%	
	Loan Index	BBB	Split BBB	BB	Split BB	B	Split B/CCC	Non-rated			
2Q26	1.93%	1.25%	1.23%	1.75%	2.53%	1.93%	3.37%	1.35%			
Week	0.25%	0.09%	0.20%	0.21%	0.14%	0.31%	0.09%	0.10%			
MTD	0.23%	0.05%	0.19%	0.18%	0.11%	0.28%	0.13%	0.02%			
QTD	1.03%	0.46%	0.69%	0.80%	0.78%	1.26%	0.26%	1.01%			
YTD	2.53%	2.67%	2.89%	3.10%	4.00%	2.41%	-0.61%	4.87%			

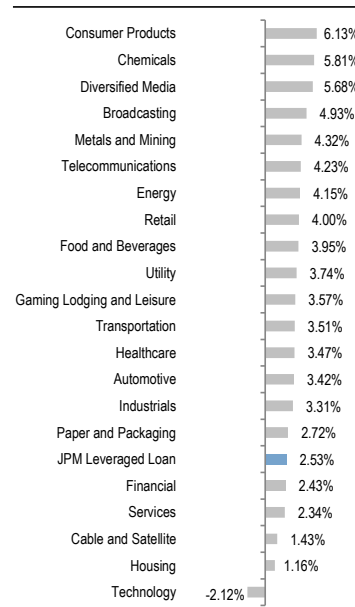
Source: J.P. Morgan; S&P/IHS Markit

Week



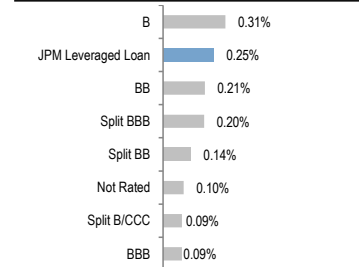
Source: J.P. Morgan; S&P/IHS Markit

Year-to-date

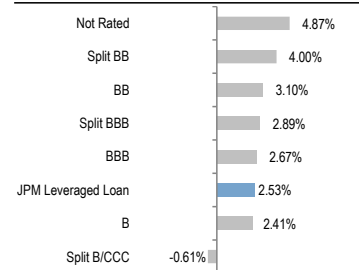


Source: J.P. Morgan; S&P/IHS Markit

Week



Year-to-date



Source: J.P. Morgan; S&P/IHS Markit

Gainers and Losers

J.P. Morgan High Yield Bond Index

Weekly Gainers	Price	Change	Industry	Year-to-date Gainers	Price	Change	Industry
Tronox Worldwide - 4.625% - Sr Nts - 29	68.67	7.20	Chemicals	Rackspace Hosting Inc - 5.375% - Sr Nts - 28	80.44	65.44	Technology
Austin Bidco Inc - 7.125% - Sr Nts - 28	88.25	6.88	Technology	Rackspace Hosting Inc - 3.500% - Sec Nts (1st Lien) - 28	87.50	50.88	Technology
Whirlpool - 5.150% - Sr Nts - 43	64.24	6.10	Cons. Prod.	Cornerstone Chemical Company - 10.000% - Sr Toggle Nts -	84.75	37.25	Chemicals
Newell Brands - 5.500%/6.000%/5.750%/6.000%/6.500%/7.000%	93.75	5.92	Cons. Prod.	Consolidated Energy Finance - 12.000% - Sr Nts - 31	104.63	34.41	Chemicals
Atkore International - 4.250% - Sr Nts - 31	100.63	5.78	Industrials	Consolidated Energy Finance - 5.625% - Sr Nts - 28	96.75	31.50	Chemicals
Hertz Corp - 5.000% - Sr Nts - 29	32.00	5.39	Services	Telesat Canada - 6.500% - Sr Nts - 27	72.56	26.56	Cable & Sat.
EW Scripps - 9.875% - Sec Nts (2nd Lien) - 30	92.00	5.13	Broadcasting	Organon - 7.875% - Sr Nts - 34	106.99	26.49	Healthcare
Kronos Acquisition Holdings - 8.250% - Sec Nts - 31	75.00	4.97	Cons. Prod.	INEOS Quattro Finance 2 - 9.625% - Sec Nts - 29	87.00	17.39	Chemicals
Whirlpool - 5.750% - Sr Nts - 34	79.80	4.84	Cons. Prod.	Organon - 5.125% - Sr Nts - 31	99.00	16.12	Healthcare
Whirlpool - 6.500% - Sr Nts - 33	88.73	4.83	Cons. Prod.	Sabre Holdings - 10.750% - Sec Nts - 30	97.65	15.42	Technology
Weekly Losers	Price	Change	Industry	Year-to-date Losers	Price	Change	Industry
Embarq - 7.995% - Sr Nts - 36	18.38	-7.42	Telecom.	Unifrax Investment - 11.175% - Sec PIK Nts (1st Lien) - 29	34.75	-40.25	Industrials
Scientific Games Lottery - 6.625% - Sr Nts - 30	74.25	-7.22	Gaming & Leis.	Cable One Inc - 4.000% - Sr Nts - 30	38.75	-38.38	Cable & Sat.
Endurance International Group - 11.750% - Sr Sec Nts (2nd L	54.50	-5.50	Technology	Cornerstone Building Brands - 6.125% - Sr Nts - 29	12.25	-37.18	Housing
Rackspace Hosting Inc - 5.375% - Sr Nts - 28	80.44	-4.19	Technology	Hertz Corp - 5.000% - Sr Nts - 29	32.00	-35.74	Services
Accendra Health - 9.750% - Sr Sec Nts (2nd Lien) - 33	62.25	-4.04	Healthcare	CSC Holdings - 7.500% - Sr Nts - 28	23.88	-34.62	Cable & Sat.
Virgin Media - 5.000% - Sr Nts - 30	58.50	-3.75	Cable & Sat.	CDK Global Inc - 8.000% - Sr Sec Nts (1st Lien) - 29	52.60	-34.04	Technology
AM General - 9.500% - Sr Sec Nts - 28	81.25	-3.25	Industrials	Radio Systems - 9.500% - Sec Nts - 29	48.00	-34.00	Cons. Prod.
Virgin Media - 6.750% - Sr Sec Nts - 33	80.38	-3.13	Cable & Sat.	Aston Martin Capital - 10.000% - Sr Sec Nts - 29	58.25	-33.93	Automotive
Brightline East LLC - 11.000% - Sr Sec Nts - 30	5.00	-3.00	Transportation	CDK Global Inc - 7.250% - Sec Nts (1st Lien) - 29	51.90	-32.97	Technology
AdaptHealth - 5.125% - Sr Nts - 30	94.00	-2.75	Healthcare	Dye & Durham Limited - 8.625% - Sr Sec Nts - 29	61.82	-32.41	Technology

Source: J.P. Morgan.

J.P. Morgan Leveraged Loan Index

Weekly Gainers	Price	Change	Industry	Year-to-date Gainers	Price	Change	Industry
Emerald Electronics Manufacturing Services L+625 TL B '27	70.00	10.00	Technology	Rackspace Hosting Inc L+275 TL '28	90.17	53.83	Technology
Vivid Seats L+225 TL B '29	53.75	9.50	Technology	Physician Partners L+400 TL B '29	88.83	41.71	Healthcare
Perforce Software L+475 TL '31	47.75	6.38	Technology	ScionHealth L+525 TL B '28	67.00	35.42	Healthcare
SolarWinds Inc L+400 TL '32	82.08	5.42	Technology	Conair Holdings L+375 TL '28	86.16	34.91	Cons. Prod.
Virtusa Corporation L+325 TL B '29	93.88	5.38	Technology	Lakeshore Intermediate LLC L+350 TL '28	93.11	19.61	Services
Idera Inc L+350 TL B '28	86.93	5.26	Technology	American Rock Salt L+400 TL '28	96.00	19.30	Chemicals
Sabre Holdings L+600 TL B '29	92.33	4.38	Technology	McDermott L+400 TL '27	95.40	18.57	Energy
ASGN Incorporated L+175 TL '30	95.00	4.38	Technology	CBS Radio Inc L+600 TL B '29	85.00	17.00	Broadcasting
Tronox Worldwide L+250 TL B '31	80.83	4.26	Chemicals	CJ Foods L+500 TL '30	93.43	17.00	Food & Bev.
Sabre Holdings L+625 TL B '29	92.50	4.25	Technology	Geon Performance Solutions L+425 TL B '28	95.04	16.42	Chemicals
Weekly Losers	Price	Change	Industry	Year-to-date Losers	Price	Change	Industry
Leslie's Poolmart L+275 TL '28	18.95	-19.44	Retail	Material Handling Systems L+550 TL B '29	14.83	-49.54	Industrials
Gogo Inc L+375 TL '28	85.30	-5.27	Telecom.	Precyse Solutions L+400 TL C '28	25.21	-42.62	Healthcare
C&S Wholesale Grocers Inc L+500 TL B '30	89.92	-4.52	Food & Bev.	Dye & Durham Limited L+425 TL B '31	50.40	-41.60	Technology
Aptus Corporation L+350 TL B '28	73.50	-4.50	Technology	Perforce Software L+475 TL B '29	48.72	-40.78	Technology
Dave & Buster's Inc L+325 TL B '29	83.91	-3.46	Food & Bev.	Precyse Solutions L+400 TL B '28	50.04	-39.81	Healthcare
Tempo Acquisition LLC L+175 TL B '28	82.25	-3.13	Services	Ivanti Software L+475 TL '29	43.58	-39.42	Technology
Scientific Games Lottery L+300 TL B '29	95.50	-2.99	Gaming & Leis.	Perforce Software L+475 TL '31	47.75	-36.04	Technology
North American Bancard L+250 TL B '28	90.40	-2.86	Financial	Interior Logic Group L+350 TL B '28	35.56	-35.75	Services
AMCP Clean Acquisition Company L+425 TL B '30	99.00	-2.75	Cons. Prod.	Veracode L+475 TL '29	28.88	-35.02	Technology
Novae LLC L+500 TL B '28	74.94	-2.65	Automotive	CDK Global Inc L+325 TL '29	50.83	-33.63	Technology
McAfee Enterprise L+700 TL '28	32.08	-2.27	Technology	Cornerstone Building Brands L+563 TL B '28	49.69	-28.81	Housing

Source: J.P. Morgan; S&P/IHS Markit

High Yield New Issue Activity

US dollar high yield issues: 6 issues totaling \$3.3bn

Date	Issuer	Amt	Security	Coupon	Maturity	Issuance		Ratings	Sector	Use of Proceeds
						Yield	Spread			
6-Aug-26	OneMain	\$600	Sr Nts	7.125	15-Mar-34	7.125	256 bp	Ba2/BB/NR	Financial	General Corporate
5-Aug-26	KeHE Distributors	\$750	Sr Sec Nts	7.000	15-Aug-34	7.000	246 bp	B3/B-/NR	Food/Beverages	Refinancing
5-Aug-26	KeHE Distributors (add-on)	\$250	Sr Sec Nts	7.125	30-Apr-33	6.808	236 bp	B3/B-/NR	Food/Beverages	Refinancing
5-Aug-26	Newell Brands	\$500	Sr Nts	6.250	15-Aug-31	6.250	191 bp	B2/B+/NR	Consumer Products	Refinancing
5-Aug-26	Newell Brands	\$100	Sr Nts	6.250	15-Aug-31	6.250	191 bp	B2/B+/NR	Consumer Products	Refinancing
5-Aug-26	Focus Financial (CD&R/Stone Point)	\$365	Sr Sec Nts	7.250	15-Sep-31	7.250	289 bp	B3/B-/NR	Financial	Dividend
5-Aug-26	Focus Financial (CD&R/Stone Point)	\$150	Sr Sec Nts	7.250	15-Sep-31	7.250	289 bp	B3/B-/NR	Financial	Refinancing
5-Aug-26	Focus Financial (CD&R/Stone Point)	\$85	Sr Sec Nts	7.250	15-Sep-31	7.250	289 bp	B3/B-/NR	Financial	General Corporate
5-Aug-26	Arrow International (Platinum Equity)	\$500	Sr Sec Nts	8.250	15-Aug-33	8.250	377 bp	B2/B+/NR	Consumer Products	Refinancing

Source: J.P. Morgan.

Non US dollar high yield new issues: None

Date	Issuer	Amt	Security	Coupon	Maturity	Issuance		Ratings	Sector	Use of Proceeds
						Yield	Spread			

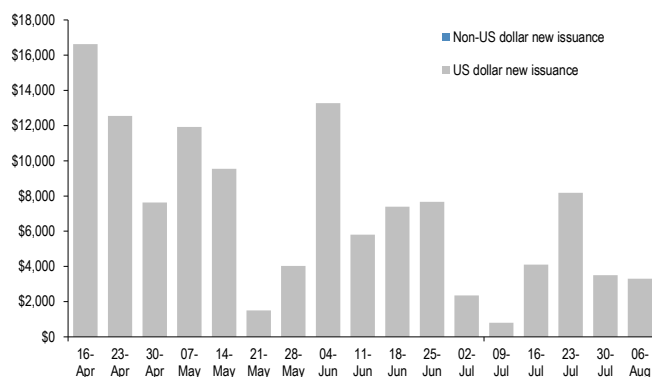
Source: J.P. Morgan.

US dollar high yield forward calendar: None

Date	Issuer	Amt	Security	Ratings	Sector	Underwriter	Use of Proceeds
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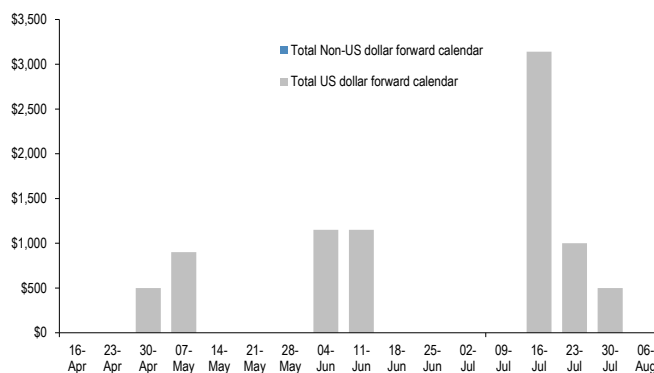
Source: J.P. Morgan.

Weekly high yield new issue volume



Source: J.P. Morgan.

Weekly high yield forward calendar



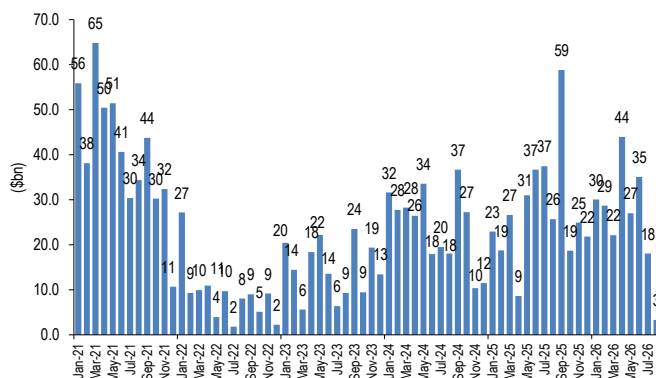
Source: J.P. Morgan.

High Yield New Issue Activity

	2018	2019	2020	2021	2022	2023	2024	2025	YTD25	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Volume (billion)	\$187.4	\$286.6	\$449.9	\$483.0	\$106.5	\$176.1	\$288.8	\$332.0	\$191.4	\$80.9	\$106.0	\$3.3	\$21.3	\$208.2	\$3.5	\$3.3
Number of issues	338	444	694	730	149	254	429	405	231	92	125	6	27	244	5	6
By rating (as a percent of total volume)																
Split BBB	1.3%	2.0%	3.2%	0.9%	0.3%	0.6%	0.4%	0.0%	0.0%	0.0%	0.7%	0.0%	11.7%	1.6%	0.0%	0.0%
BB	33.2%	45.5%	44.3%	39.9%	38.7%	47.1%	44.4%	55.7%	52.1%	55.3%	52.7%	18.2%	24.6%	50.8%	0.0%	18.2%
Split BB	12.8%	9.5%	12.3%	11.8%	7.1%	10.5%	7.9%	4.5%	3.9%	2.2%	8.3%	0.0%	0.0%	5.1%	0.0%	0.0%
B	35.3%	33.0%	28.5%	33.4%	39.4%	35.5%	40.5%	34.2%	36.7%	33.8%	35.4%	81.8%	56.6%	37.0%	85.7%	81.8%
Split B	5.6%	4.2%	4.0%	4.0%	2.1%	4.7%	1.9%	2.0%	3.1%	2.8%	1.9%	0.0%	0.0%	2.1%	0.0%	0.0%
CCC	9.1%	5.5%	7.3%	9.6%	12.2%	1.0%	4.1%	2.3%	2.0%	5.9%	0.9%	0.0%	7.0%	3.5%	14.3%	0.0%
NR	2.7%	0.4%	0.1%	0.4%	0.2%	0.5%	0.8%	1.3%	2.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
By use of proceeds (as a percent of total volume)																
Acquisition finance/LBO	21.5%	19.8%	8.5%	20.0%	28.4%	21.5%	12.9%	13.9%	13.2%	22.7%	13.5%	0.0%	7.2%	16.4%	0.0%	0.0%
General corporate	14.6%	12.0%	24.7%	15.8%	21.9%	11.4%	7.0%	12.5%	10.7%	16.1%	31.5%	20.8%	22.5%	24.6%	0.0%	20.8%
Refinancing	60.9%	67.5%	66.1%	60.2%	47.4%	66.2%	75.5%	70.4%	74.2%	58.5%	54.3%	68.2%	59.2%	56.4%	90.9%	68.2%
Dividend	1.8%	0.7%	0.5%	2.2%	0.0%	0.9%	4.3%	2.3%	1.8%	2.7%	0.7%	11.1%	11.2%	2.5%	9.1%	11.1%
By industry (as a percent of total volume)																
Automotive	0.7%	2.5%	6.4%	4.0%	9.4%	6.0%	4.0%	4.8%	3.9%	3.7%	2.6%	0.0%	0.0%	2.8%	0.0%	0.0%
Broadcasting	1.4%	5.3%	2.2%	1.0%	0.8%	1.4%	1.3%	2.7%	3.9%	6.3%	1.4%	0.0%	0.0%	3.2%	0.0%	0.0%
Cable and Satellite	3.3%	8.2%	6.1%	5.0%	8.7%	1.9%	2.6%	1.6%	1.7%	6.4%	1.3%	0.0%	0.0%	3.2%	0.0%	0.0%
Chemicals	3.0%	1.8%	2.1%	3.0%	1.5%	2.9%	2.1%	3.2%	2.2%	2.8%	0.7%	0.0%	7.5%	2.2%	45.7%	0.0%
Consumer Products	1.7%	1.2%	1.5%	3.8%	1.2%	1.0%	2.5%	1.3%	1.5%	0.0%	2.5%	33.3%	7.3%	2.0%	0.0%	33.3%
Diversified Media	1.1%	1.0%	1.1%	2.7%	3.2%	1.6%	1.1%	1.3%	1.0%	8.5%	0.8%	0.0%	4.5%	4.2%	27.1%	0.0%
Energy	24.2%	9.3%	11.8%	14.4%	10.1%	23.2%	15.3%	12.2%	11.2%	11.9%	12.3%	0.0%	18.9%	12.8%	0.0%	0.0%
Financial	8.6%	6.2%	7.0%	8.5%	3.2%	10.9%	15.4%	11.8%	12.5%	8.6%	11.5%	36.4%	9.4%	10.2%	0.0%	36.4%
Food and Beverages	2.7%	3.4%	4.1%	3.7%	3.2%	1.4%	3.2%	0.8%	0.7%	5.2%	2.4%	30.3%	4.7%	3.8%	0.0%	30.3%
Gaming Lodging and Leisure	6.6%	7.8%	9.4%	7.4%	15.0%	5.5%	7.3%	7.8%	8.2%	3.6%	4.0%	0.0%	0.0%	3.5%	0.0%	0.0%
Healthcare	10.3%	11.8%	9.5%	8.8%	8.6%	4.8%	5.3%	6.6%	7.6%	1.9%	2.8%	0.0%	2.3%	2.4%	14.3%	0.0%
Housing	3.4%	3.0%	4.2%	3.8%	4.5%	2.5%	6.0%	6.0%	7.4%	2.0%	4.4%	0.0%	0.0%	3.0%	0.0%	0.0%
Industrials	2.7%	7.3%	3.5%	3.7%	3.0%	10.2%	8.1%	4.5%	5.4%	8.0%	4.3%	0.0%	0.0%	5.3%	0.0%	0.0%
Metals and Mining	3.7%	2.6%	3.8%	2.6%	4.6%	2.8%	3.5%	4.5%	3.8%	1.9%	3.6%	0.0%	0.0%	2.5%	0.0%	0.0%
Paper and Packaging	2.3%	4.1%	2.1%	1.9%	4.0%	4.2%	1.6%	1.6%	2.1%	0.0%	3.2%	0.0%	0.0%	1.6%	0.0%	0.0%
Retail	2.1%	2.1%	3.6%	2.9%	1.0%	1.6%	1.6%	3.5%	3.5%	7.3%	1.3%	0.0%	2.1%	3.7%	12.9%	0.0%
Services	5.1%	8.3%	5.4%	6.4%	1.0%	4.4%	5.7%	4.3%	3.3%	1.7%	6.0%	0.0%	12.4%	5.0%	0.0%	0.0%
Technology	5.3%	4.6%	7.4%	4.8%	10.6%	5.8%	7.3%	11.9%	11.8%	13.0%	23.6%	0.0%	19.3%	19.0%	0.0%	0.0%
Telecommunications	6.3%	4.3%	4.9%	6.0%	1.1%	2.5%	2.6%	4.2%	4.9%	2.0%	0.9%	0.0%	0.0%	1.3%	0.0%	0.0%
Transportation	2.8%	1.6%	2.1%	3.8%	4.7%	3.2%	5.2%	1.2%	1.5%	4.2%	3.1%	0.0%	11.7%	4.4%	0.0%	0.0%
Utility	2.9%	3.5%	1.8%	1.5%	0.6%	2.4%	2.1%	4.4%	1.9%	0.7%	7.0%	0.0%	0.0%	3.8%	0.0%	0.0%

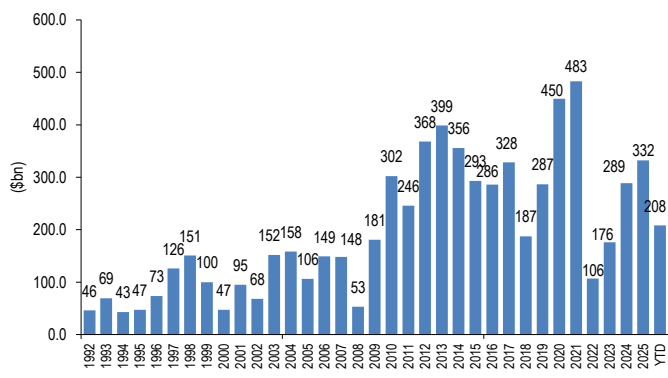
Source: J.P. Morgan.

Monthly high yield new issue volume



Source: J.P. Morgan.

Annual high yield new issue volume



Source: J.P. Morgan.

Institutional Loan New Issue Activity

US dollar Institutional new issues: 16 institutional loans totaling \$14.2bn

Date	Issuer	Amt	Facility	Coupon	Rate Floor	Tenor	Ratings	Industry	Issuance		Use of Proceeds
									Price	Yield	
6-Aug-26	DiversiTech (Partners Group)	\$100	Add-on TL	325	0.50%	5.4yrs	B3/B-	Housing	100.00	7.01%	Refinancing
6-Aug-26	OSTTRA (KKR)	\$1,297	TL (cov-lite)	300	0.00%	6.2yrs	B3/NR	Financial	100.00	6.76%	Repricing
6-Aug-26	MDVIP (GSAM/Charlesbank)	\$215	Add-on TL (cov-lite)	275	0.50%	5.2yrs	B3/B	Healthcare	99.50	6.64%	Dividend
6-Aug-26	Life Time Fitness	\$985	TL (cov-lite)	175	0.00%	5.2yrs	B1/BB	Retail	100.00	5.51%	Repricing
6-Aug-26	Actus Nutrition (Butterfly)	\$1,264	TL (cov-lite)	350	0.00%	6.0yrs	B2/B	Food/Beverages	100.00	7.26%	Repricing
6-Aug-26	Senior AeroFlow Technologies (Tinicum/Blackstone)	\$925	TL (cov-lite)	275	0.00%	7.0yrs	B2/B	Industrials	99.75	6.57%	Acquisition
5-Aug-26	Arrow International (Platinum Equity)	\$250	TL (cov-lite)	450	-	7.0yrs	B2/B+	Consumer Products	99.00	8.51%	Dividend
5-Aug-26	Arrow International (Platinum Equity)	\$250	TL (cov-lite)	450	-	7.0yrs	B2/B+	Consumer Products	99.00	8.51%	Refinancing
5-Aug-26	Dresser Utility (Blackstone)	\$495	TL	325	0.00%	7.0yrs	B3/B-	Energy	99.75	7.07%	Acquisition
5-Aug-26	Dresser Utility (Blackstone)	\$80	DDTL	325	0.00%	7.0yrs	B3/B-	Energy	99.75	7.07%	Acquisition

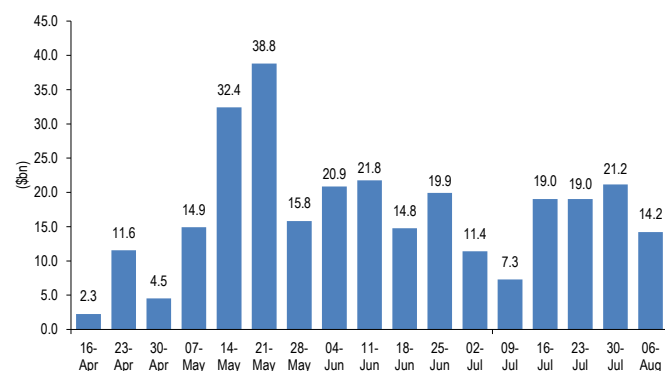
Source: J.P. Morgan.

US dollar institutional loan in-market forward calendar: 15 institutional loans launched totaling \$11.4bn

Date	Issuer	Amt	Facility	Industry	Arrangers	Tenor	Ratings	Spread / Floor / OID	SOFR CSA	Use of Proceeds
29-Jul-26	Paysafe (Blackstone/CVC)	\$814	TL	Technology	JPM	3.9yrs	B2 / B	S+500 / 0.50% / 95.00-96.00	No CSA	Other
3-Aug-26	J&J Ventures Gaming (Oaktree)	\$350	Add-on TL	Consumer	GS	3.7yrs	B2 / B	S+350 / 0.75% / 99.00-99.27	No CSA	Refi
3-Aug-26	Win Waste Innovations (Macquarie Infrastructure)	\$1,208	TL	Industrials	Truist	2.5yrs	B3 / B-	S+275 / TBD / 99.75-100.00	No CSA	Refi
27-Jul-26	PureStar (Cornell Capital)	\$825	TL	Consumer	Citizens	7.0yrs	B3 / B	S+350 / 0.50% / 99.50	No CSA	Refi
27-Jul-26	PureStar (Cornell Capital)	\$150	DDTL	Consumer	Citizens	7.0yrs	B3 / B	S+350 / 0.50% / 99.50	No CSA	Refi
6-Aug-26	TEAM (fka Wasserman Media) (Providence Equ)	\$300	Incr. TL	Media	JPM	5.8yrs	B2 / B	S+250-275 / 0.00% / 98.79-99.00	No CSA	Other
6-Aug-26	Hillman	\$200	Add-on TL	Consumer	Jeff	7.0yrs	Ba3 / BB	S+200 / 0.00% / 99.50	No CSA	M&A
5-Aug-26	Carvana	\$1,000	TL	Automotive	Barclays	7.0yrs	B1 / BB-	S+225-250 / 0.00% / 99.00-99.50	No CSA	Refi
3-Aug-26	Accuris (fka S&P Global's Engineering Solutions)	\$700	TL	Services	RBC	5.0yrs	TBD / TBD	S+425-450 / TBD / 98.00-98.50	No CSA	Refi
3-Aug-26	Fidelis Partnership	\$2,040	TL	Financial	MS	7.0yrs	TBD / TBD	S+275 / 0.00% / 99.00-99.50	No CSA	Refi

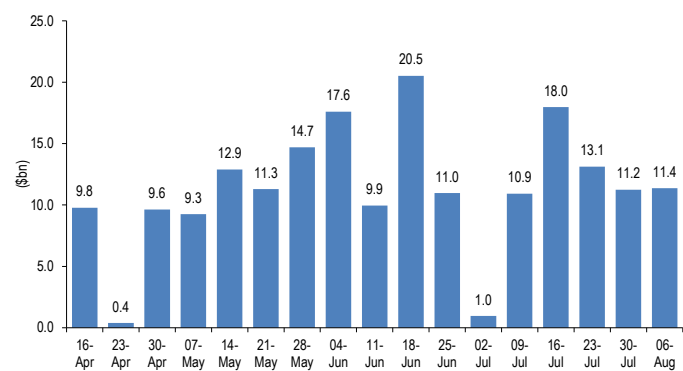
Source: J.P. Morgan.

Weekly institutional loan new issue volume



Source: J.P. Morgan.

Weekly institutional in-market forward calendar



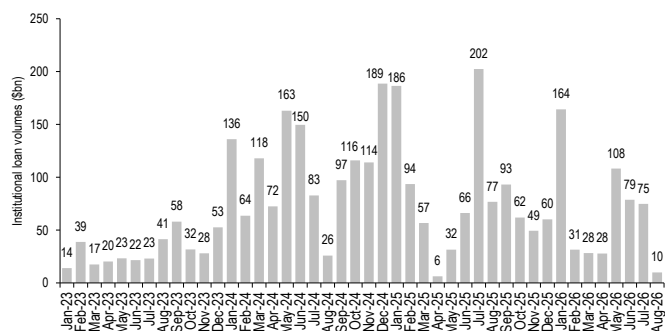
Source: J.P. Morgan.

Institutional Loan New Issue Activity

	2018	2019	2020	2021	2022	2023	2024	2025	YTD25	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Volume (billion)	\$703.7	\$391.6	\$421.6	\$835.1	\$252.5	\$370.1	\$1327.0	\$984.3	\$660.1	\$223.8	\$214.6	\$9.8	\$84.6	\$523.1	\$21.2	\$14.2
Number of issues	1210	650	606	1249	351	473	1355	1029	643	209	226	12	79	514	16	16
By rating (as a percent of total volume)																
Split BBB	2.4%	0.6%	1.5%	0.9%	0.0%	1.2%	0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
BB	21.4%	29.9%	17.9%	17.0%	16.6%	28.3%	21.8%	17.7%	17.3%	16.1%	34.8%	9.5%	9.8%	22.7%	0.0%	12.0%
Split BB	8.1%	8.3%	7.0%	6.0%	7.7%	7.4%	6.1%	8.0%	7.8%	13.5%	10.0%	10.0%	8.7%	10.3%	12.3%	6.9%
B	64.8%	55.7%	68.5%	73.9%	72.9%	60.2%	69.4%	70.2%	70.5%	72.9%	47.1%	80.5%	75.6%	62.8%	84.5%	81.1%
Split B/CCC	0.2%	1.9%	2.0%	0.6%	1.1%	0.5%	0.2%	0.6%	0.7%	0.1%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%
NR	2.6%	2.9%	2.1%	1.3%	1.4%	1.6%	1.7%	3.1%	3.4%	3.1%	3.1%	0.0%	5.9%	3.6%	3.2%	0.0%
By use of proceeds (as a percent of total volume)																
Repricing	36.0%	15.5%	26.0%	24.4%	3.0%	19.2%	57.3%	50.0%	55.4%	51.5%	35.3%	45.5%	39.9%	43.0%	13.7%	53.7%
Refinancing	21.1%	35.5%	28.3%	26.5%	32.4%	58.7%	29.9%	29.8%	26.5%	23.5%	36.0%	33.6%	40.2%	31.3%	64.1%	29.9%
Acquisition	36.3%	40.2%	33.8%	36.8%	56.1%	16.4%	8.1%	13.0%	12.7%	20.7%	20.5%	16.2%	7.5%	18.5%	0.0%	11.2%
General Corporate	1.2%	3.0%	4.1%	2.6%	3.3%	0.7%	1.1%	2.1%	1.7%	2.2%	4.8%	0.0%	8.8%	4.3%	12.5%	0.5%
Dividend	4.4%	4.4%	7.3%	8.3%	2.1%	4.2%	2.8%	4.4%	3.3%	2.0%	1.9%	4.7%	3.5%	2.2%	9.7%	4.7%
By industry (as a percent of total volume)																
Automotive	2.6%	2.5%	1.7%	3.3%	2.8%	2.4%	2.9%	2.6%	3.2%	3.9%	3.1%	0.0%	0.0%	2.9%	0.0%	0.0%
Broadcasting	0.3%	3.8%	1.3%	0.3%	0.5%	0.5%	0.2%	0.5%	0.3%	0.0%	0.0%	0.0%	1.1%	0.2%	0.0%	0.0%
Cable and Satellite	0.3%	4.9%	2.5%	1.3%	2.3%	1.4%	0.7%	0.5%	0.6%	0.0%	0.1%	0.0%	1.3%	0.2%	0.0%	0.0%
Chemicals	4.0%	1.9%	2.7%	3.2%	4.8%	5.9%	3.7%	2.1%	1.8%	0.6%	5.3%	0.0%	3.8%	3.1%	15.1%	0.0%
Consumer Products	7.9%	1.5%	3.6%	6.1%	2.2%	3.1%	2.0%	2.2%	1.5%	4.0%	5.3%	5.1%	5.7%	4.8%	0.0%	3.5%
Diversified Media	3.3%	2.3%	3.1%	2.8%	2.0%	6.9%	2.7%	3.0%	3.5%	1.7%	7.5%	0.0%	3.0%	4.3%	5.0%	0.0%
Energy	3.3%	4.4%	0.8%	2.2%	2.1%	5.3%	3.3%	3.5%	3.7%	7.8%	6.4%	5.8%	2.6%	6.4%	2.6%	4.0%
Financial	6.6%	6.6%	10.2%	6.8%	6.6%	10.0%	11.9%	12.4%	13.8%	13.4%	8.1%	13.2%	4.9%	9.9%	5.8%	9.1%
Food and Beverages	0.5%	6.0%	3.1%	1.5%	4.9%	3.6%	2.9%	3.9%	3.5%	2.4%	1.1%	12.9%	8.0%	2.8%	13.4%	8.9%
Gaming Lodging and Leisure	9.0%	6.4%	3.4%	3.5%	6.3%	6.7%	6.1%	4.4%	4.5%	3.4%	3.9%	0.0%	3.0%	3.5%	0.0%	6.1%
Healthcare	11.5%	10.2%	10.0%	14.0%	12.3%	6.4%	10.1%	10.2%	9.9%	11.6%	17.1%	32.2%	12.9%	14.1%	4.9%	27.7%
Housing	2.5%	2.0%	2.6%	3.0%	4.5%	2.6%	2.6%	3.3%	4.1%	0.4%	2.6%	10.5%	1.9%	1.5%	2.2%	7.2%
Industrials	7.1%	5.9%	8.4%	7.2%	7.2%	6.8%	7.6%	8.3%	9.3%	8.3%	10.4%	12.8%	9.5%	7.2%	7.2%	7.2%
Metals and Mining	1.1%	0.1%	0.5%	0.2%	0.5%	0.6%	0.7%	0.7%	0.8%	0.3%	0.6%	0.0%	0.0%	0.4%	0.0%	0.0%
Paper and Packaging	2.2%	3.9%	1.5%	4.0%	3.3%	2.6%	4.0%	3.0%	2.6%	2.7%	3.6%	0.0%	3.3%	3.2%	0.0%	0.0%
Retail	1.7%	2.3%	3.2%	3.2%	0.3%	2.1%	1.2%	2.4%	2.5%	1.6%	1.3%	10.0%	2.6%	1.7%	1.9%	6.9%
Services	9.2%	13.7%	9.0%	12.5%	9.2%	11.4%	13.2%	14.0%	13.4%	12.8%	10.9%	0.0%	14.0%	12.2%	6.2%	19.3%
Technology	17.0%	12.4%	18.3%	18.3%	22.0%	13.6%	16.4%	14.3%	14.7%	10.0%	3.6%	0.0%	13.9%	8.0%	32.6%	0.0%
Telecommunications	4.7%	2.8%	8.5%	2.7%	3.0%	2.2%	1.1%	1.3%	1.2%	0.8%	1.4%	0.0%	0.0%	0.9%	0.0%	0.0%
Transportation	2.2%	2.5%	2.3%	3.1%	1.6%	2.2%	2.2%	2.7%	3.2%	4.9%	4.3%	0.0%	4.3%	4.6%	0.0%	0.0%
Utility	2.9%	4.1%	3.4%	0.9%	1.4%	3.6%	3.7%	3.4%	3.1%	4.8%	5.6%	0.0%	0.8%	4.5%	3.2%	0.0%

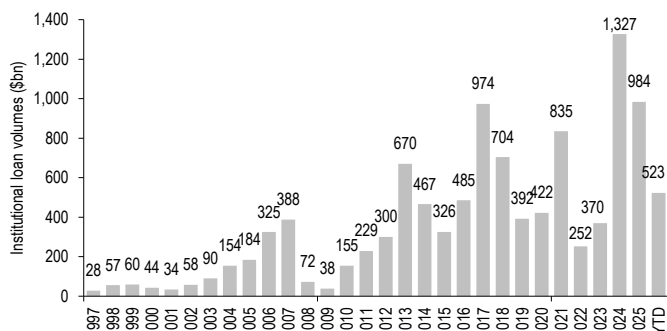
Source: J.P. Morgan; PitchBook Data, Inc.

Monthly institutional loan new issue volume



Source: J.P. Morgan.

Annual institutional loan new issue volume



Source: J.P. Morgan.

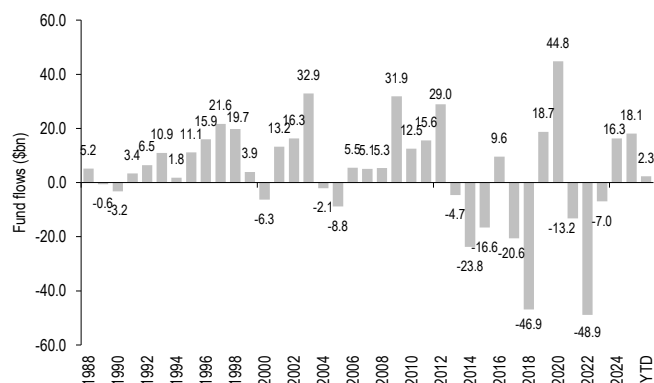
High Yield Supply and Demand

Sources of supply and demand (\$bn)

	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Gross new issuance	286.6	449.9	483.0	106.5	176.1	288.8	332.0	80.9	106.0	3.3	21.3	208.2	3.5	3.3
Fallen angels	15.1	227.7	9.6	13.6	14.2	9.6	61.3	16.7	14.7	0.0	2.2	33.6	0.0	0.0
Total Supply	301.7	677.6	492.6	120.1	190.2	298.5	393.2	97.6	120.7	3.3	23.5	241.8	3.5	3.3
Calls	156.3	211.4	284.6	86.8	72.8	145.3	181.1	49.8	44.8	0.4	20.0	114.6	5.3	0.8
Tenders	55.1	60.1	66.0	56.3	36.0	55.4	60.7	6.1	17.8	0.0	1.4	25.4	0.1	0.0
Maturities	55.0	41.5	52.3	64.1	52.2	41.6	41.8	4.7	7.4	2.1	7.2	19.3	0.0	2.1
Rising stars	58.9	23.6	53.7	113.0	124.7	44.3	33.9	27.4	19.3	0.0	1.4	48.1	0.0	0.0
Coupon reinvestment @ 75%	89.1	86.6	87.5	80.7	69.8	70.0	72.5	19.3	18.4	1.4	7.8	45.5	1.5	1.7
Mutual fund flows (AMG)	18.7	44.8	-13.2	-48.9	-7.0	16.3	18.1	-10.2	10.5	1.5	2.1	2.3	-0.6	2.0
Total Demand	433.2	468.1	530.9	352.0	348.5	372.9	408.2	97.1	118.3	5.4	39.9	255.2	6.2	6.5
Supply surplus/(shortfall)	-131.4	209.5	-38.3	-231.9	-158.2	-74.4	-15.0	0.5	2.4	-2.1	-16.4	-13.4	-2.7	-3.2

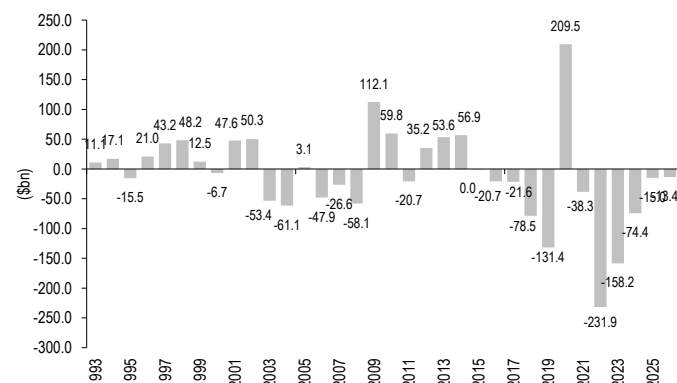
Source: J.P. Morgan; Bloomberg Finance L.P.; Lipper FMI

High yield mutual funds flows



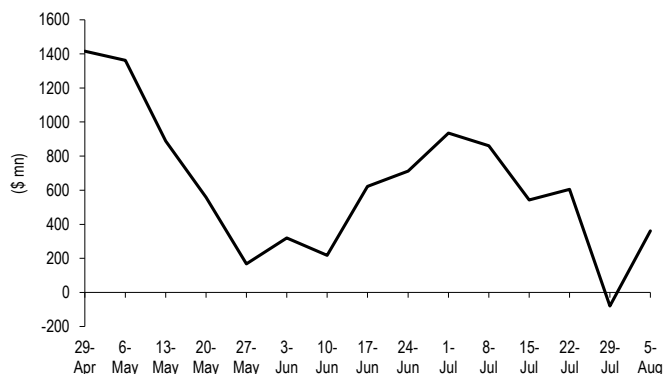
Source: J.P. Morgan; Lipper FMI

Supply surplus/shortfall



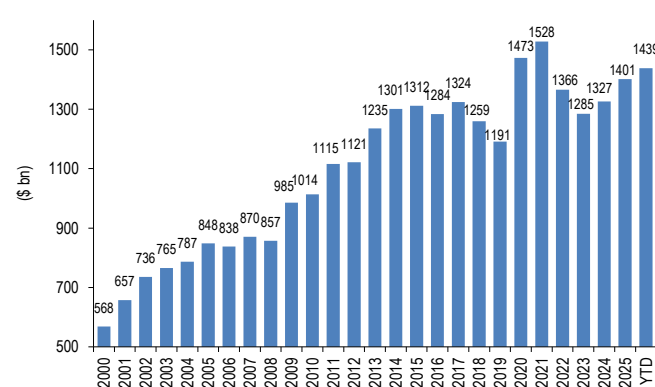
Source: J.P. Morgan.
Note: Includes fallen angels

Four-week rolling high yield mutual fund flows



Source: J.P. Morgan; Lipper FMI

US high yield market size



Source: J.P. Morgan.

Leveraged Loan Supply and Demand

Sources of supply and demand (\$bn)

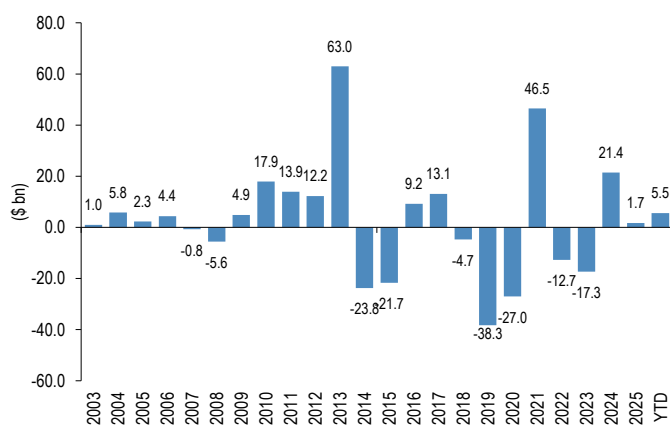
(\$bn)	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Gross new issuance	391.6	421.6	835.1	252.5	370.1	1,327.0	984.3	223.8	214.6	9.8	84.6	523.1	21.2	14.2
Repricings	-60.5	-109.7	-204.2	-7.5	-71.0	-760.0	-492.6	-115.2	-75.7	-4.5	-33.8	-224.7	-2.9	-7.6
Total Net Supply	331.0	311.9	631.0	244.9	299.1	567.0	491.7	108.6	138.9	5.4	50.8	298.3	18.3	6.6
Paydowns*	249.3	219.4	361.5	187.5	275.1	390.2	310.7	54.1	36.2	-1.7	12.2	102.6	0.8	1.7
Retail inflows	-38.3	-27.0	46.5	-12.7	-17.3	21.4	1.7	-2.7	5.3	0.8	3.0	5.5	0.3	0.8
CLO issuance**	119.2	92.1	183.7	130.3	115.6	202.5	202.6	46.4	34.7	3.0	16.3	97.4	5.7	3.4
Total Demand	330.1	284.4	591.8	305.1	373.4	614.1	515.0	97.8	76.2	2.1	31.5	205.5	6.9	5.9
Supply surplus/(shortfall)	0.9	27.4	39.2	-60.2	-74.3	-47.1	-23.2	10.8	62.7	3.3	19.3	92.8	11.4	0.7

Source: J.P. Morgan; PitchBook Data, Inc.; Lipper FMI

* Pay-downs include amortizations, unscheduled pay-downs, and bond for loan issuance; CLO issuance includes only USD deals

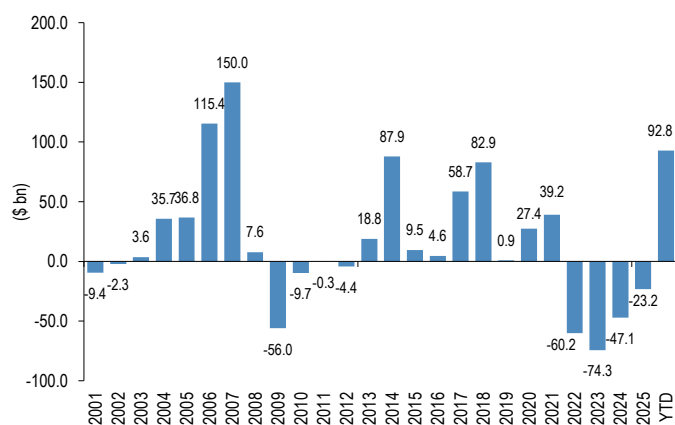
** CLO Issuance excludes refi/reset

Leveraged loan mutual funds flows



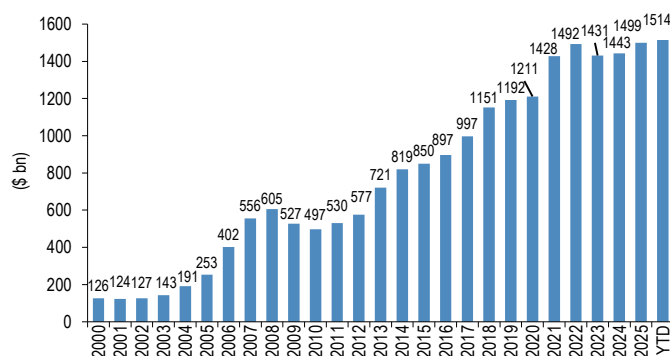
Source: J.P. Morgan; Lipper FMI

Supply surplus/shortfall



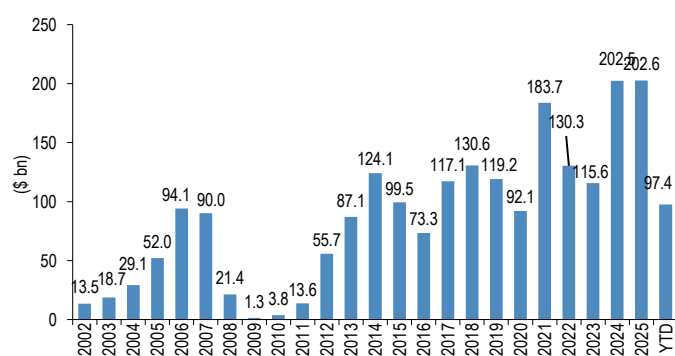
Source: J.P. Morgan.

Leveraged loan market size



Source: J.P. Morgan; S&P/IHS Markit

US CLO issuance



Source: J.P. Morgan; PitchBook Data, Inc.
Note: Excludes refi/reset volume

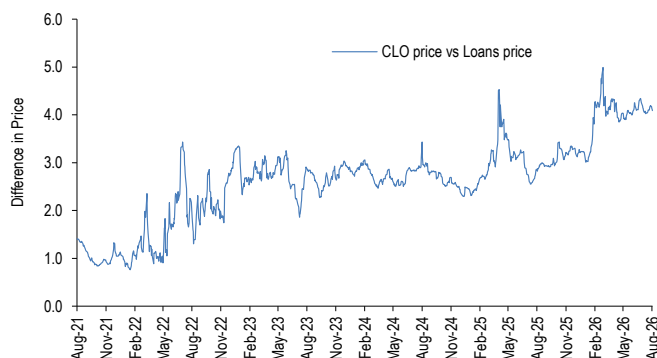
CLO Market Snapshot

US CLO secondary spreads

Sector	WAL (years)	Current Discount Margin	Change		2025YE
			1-Wk	YTD	
US CLO					
CLOIE Post-Crisis Index					
AAA	1.66	119	0	2	118
AA	1.15	146	-2	-6	152
A	1.67	182	-4	-1	183
BBB	4.18	335	-2	15	320
BB	6.22	731	-2	29	702
B	8.28	1046	-3	-32	1077

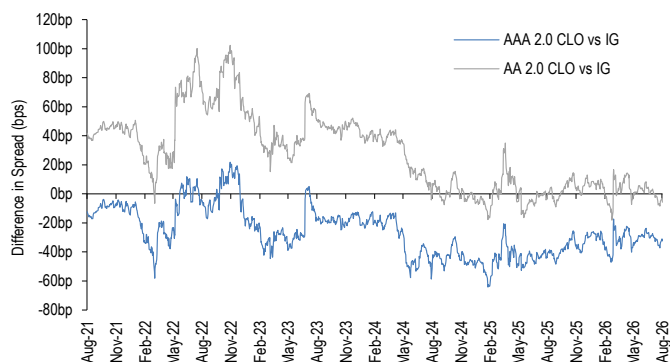
Source: J.P. Morgan.

CLOs versus leveraged loans



Source: J.P. Morgan.

AAA/AA CLOs versus investment grade



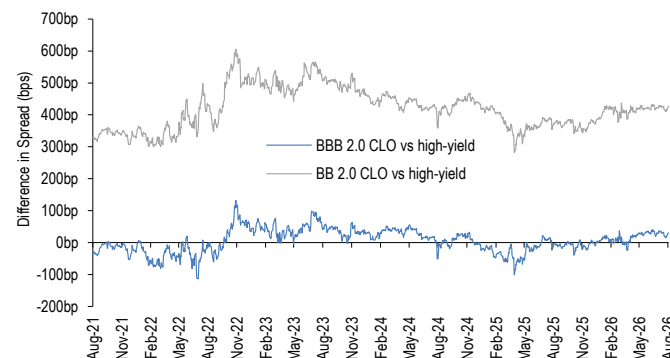
Source: J.P. Morgan.

US CLO secondary yields

Sector	Current Yield	Change		2025YE
		1-Wk	YTD	
US CLO				
CLOIE Post-Crisis Index				
AAA	5.25%	2	64	4.61%
AA	5.51%	0	55	4.97%
A	5.91%	-2	57	5.34%
BBB	7.52%	-1	79	6.74%
BB	11.61%	0	91	10.70%
B	14.89%	-2	25	14.64%

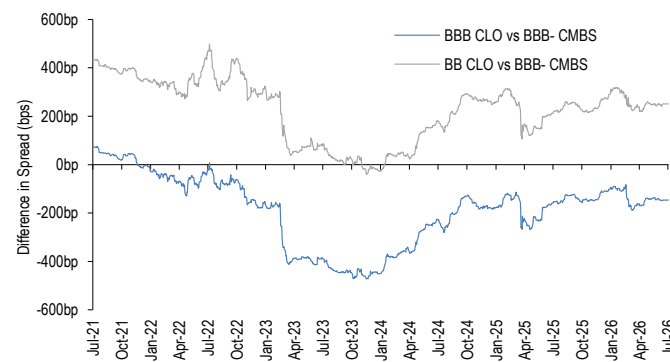
Source: J.P. Morgan.

BBB/BB CLOs versus high yield



Source: J.P. Morgan.

BBB/BB CLOs versus BBB- CMBS



Source: J.P. Morgan.

High Yield and Leveraged Loan Defaults

Recent defaults

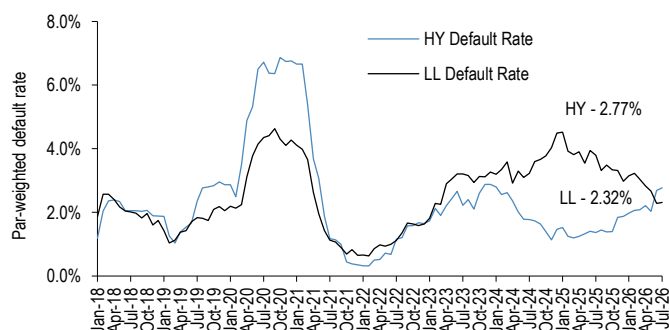
Date	Issuer	Bonds (\$mn)	Loans (\$mn)	Total (\$mn)	Industry	Action
26-Jul-26	Unifrax Investment (Alkegen)	1,454.2	1,673.2	3,127.4	Industrials	Filed Chapter 11
30-Jun-26	Dish DBS	9,750.0	0.0	9,750.0	Cable and Satellite	Filed Chapter 11
3-Jun-26	Inotiv	0.0	266.9	266.9	Healthcare	Filed Chapter 11
16-Apr-26	QVC Group	2,212.9	0.0	2,212.9	Retail	Filed Chapter 11
10-Apr-26	Intrado Corp (West Technology)	441.6	871.8	1,313.4	Telecommunications	Missed interest payment
5-Mar-26	Cumulus Media	329.5	311.8	641.3	Broadcasting	Filed Chapter 11

Source: J.P. Morgan Note: Includes only US dollar-denominated debt from domestic high yield issuers.

*Indicates an issuer that has missed an interest payment and is currently in a 30-day grace period

LTM default rate

based on par amount

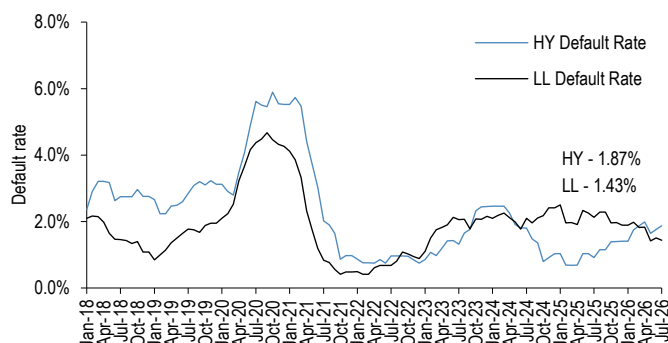


Source: J.P. Morgan.

Note: Includes distressed exchanges

LTM default rate

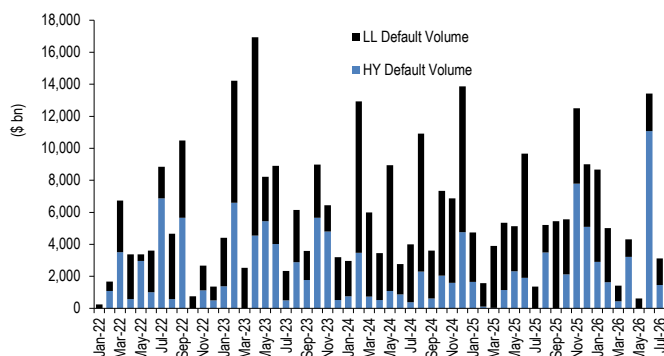
based on number of issues



Source: J.P. Morgan.

Note: Excludes distressed exchanges

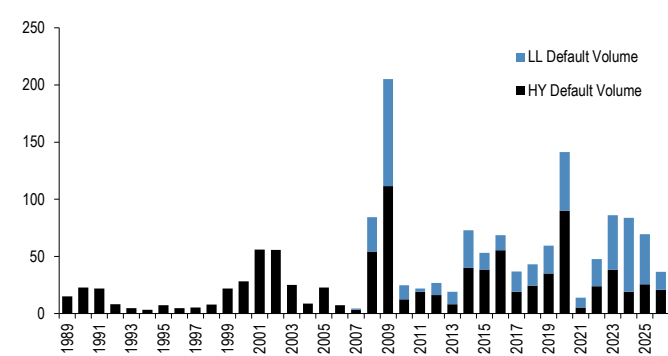
Monthly default volume



Source: J.P. Morgan; Moody's Investor Service

Note: Includes distressed exchanges

Annual default volume



Source: J.P. Morgan; Moody's Investor Service

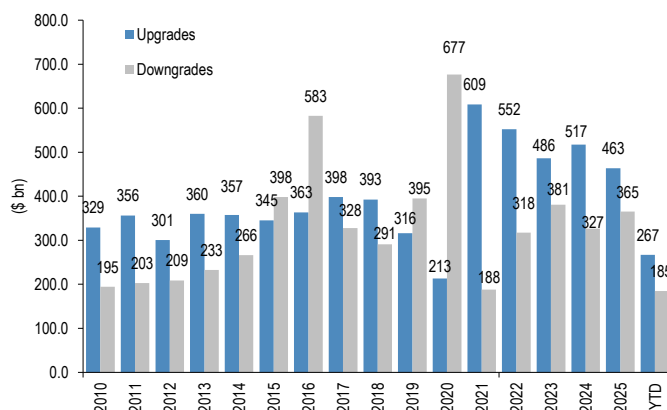
Note: Includes distressed exchanges

High Yield Ratings Upgrades and Downgrades

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
By number of issuers																
Upgrades	305	272	205	177	386	291	266	307	277	62	66	0	15	143	7	1
Downgrades	247	211	308	523	167	216	267	252	269	66	61	2	14	141	2	3
Upgrade/downgrade ratio	1.2	1.3	0.7	0.3	2.3	1.3	1.0	1.2	1.0	0.9	1.1	0.0	1.1	1.0	3.5	0.3
By dollar volume (\$bn)																
Upgrades	398.4	392.6	316.0	213.2	608.7	552.1	486.3	517.3	463.4	112.1	127.1	0.0	27.8	267.0	18.3	0.6
Downgrades	327.8	291.0	394.8	676.6	188.2	317.5	380.7	326.5	365.0	83.8	78.6	2.5	22.4	184.8	3.4	2.8
Upgrade/downgrade ratio	1.2	1.3	0.8	0.3	3.2	1.7	1.3	1.6	1.3	1.3	1.6	0.0	1.2	1.4	5.3	0.2

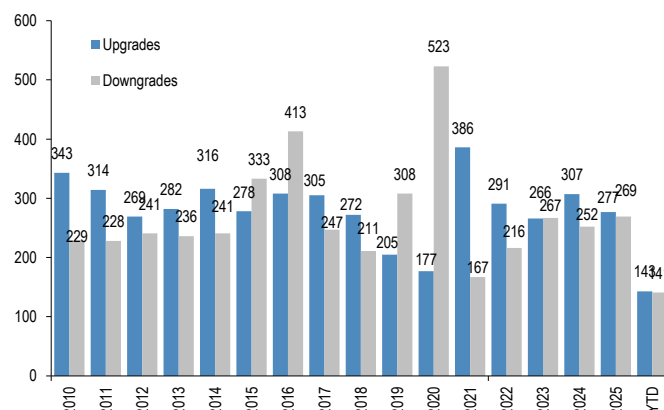
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch
Note: US Only

Upgrades and downgrades (par amount)



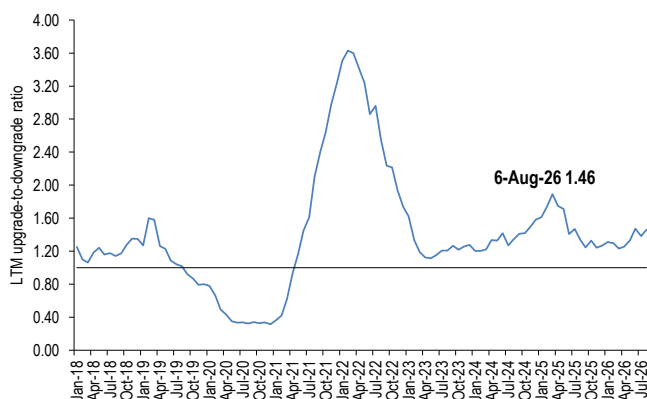
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Upgrades and downgrades (issuer)



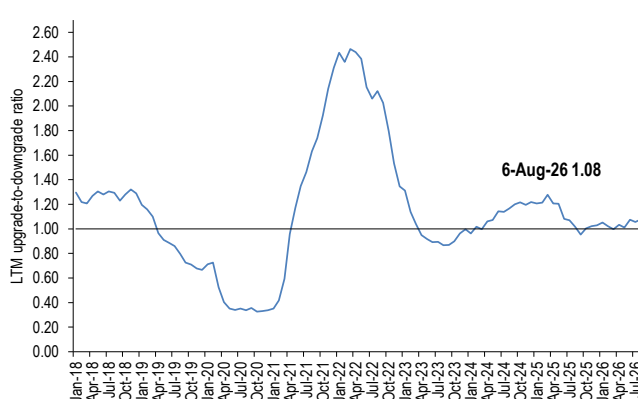
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

LTM upgrade-to-downgrade ratio (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

LTM upgrade-to-downgrade ratio (issuer)



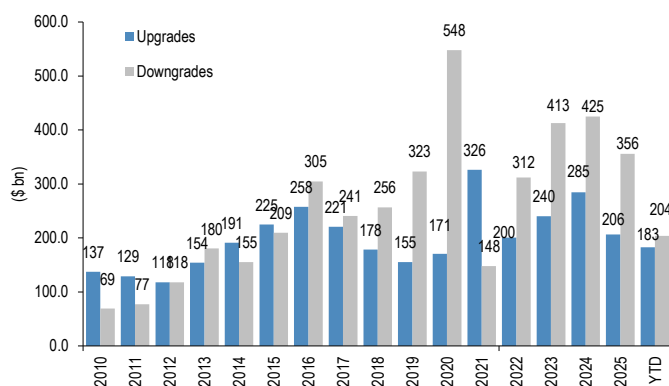
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Leveraged Loan Ratings Upgrades and Downgrades

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
By number of issuers																
Upgrades	203	186	153	189	359	217	208	231	167	48	63	0	16	127	6	0
Downgrades	295	286	367	649	170	326	423	386	323	65	70	6	23	158	4	6
Upgrade/downgrade ratio	0.7	0.7	0.4	0.3	2.1	0.7	0.5	0.6	0.5	0.7	0.9	-	0.7	0.8	1.5	0.0
By dollar volume (\$bn)																
Upgrades	220.8	178.3	155.5	170.7	326.3	200.5	240.2	284.8	206.4	62.9	91.2	-	28.8	182.9	9.5	-
Downgrades	240.7	256.4	323.2	548.1	148.0	311.9	412.9	424.8	355.9	74.1	87.7	17.5	41.9	203.6	6.8	17.5
Upgrade/downgrade ratio	0.9	0.7	0.5	0.3	2.2	0.6	0.6	0.7	0.6	0.8	1.0	-	0.7	0.9	1.4	0.0

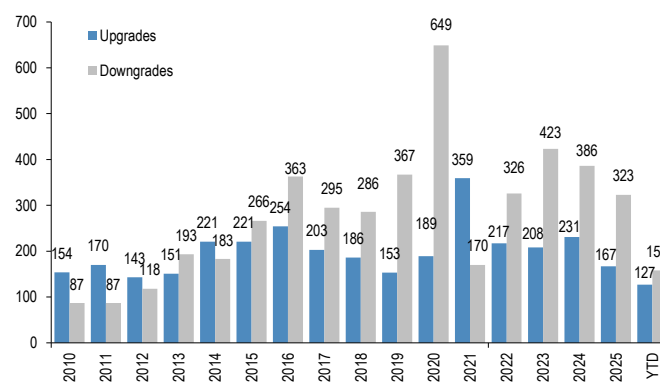
Source: J.P. Morgan; Moody's Investors Service; S&P
Note: Global Numbers

Upgrades and downgrades (par amount)



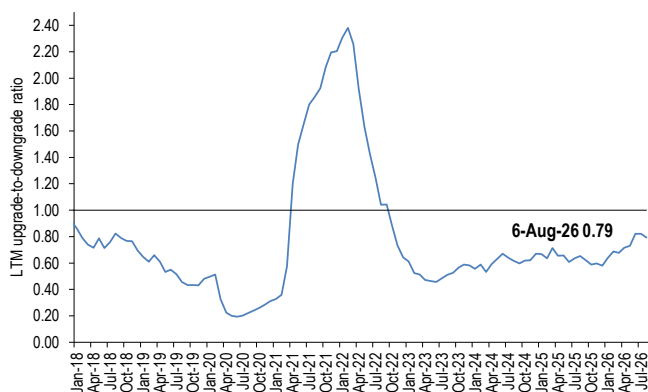
Source: J.P. Morgan; Moody's Investors Service; S&P

Upgrades and downgrades (issuer)



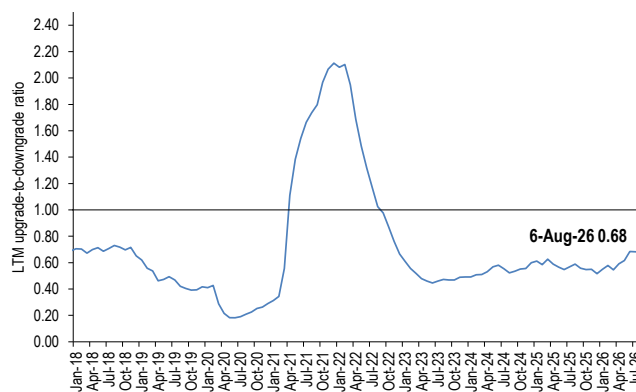
Source: J.P. Morgan; Moody's Investors Service; S&P

LTM upgrade-to-downgrade ratio (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P

LTM upgrade-to-downgrade ratio (issuer)



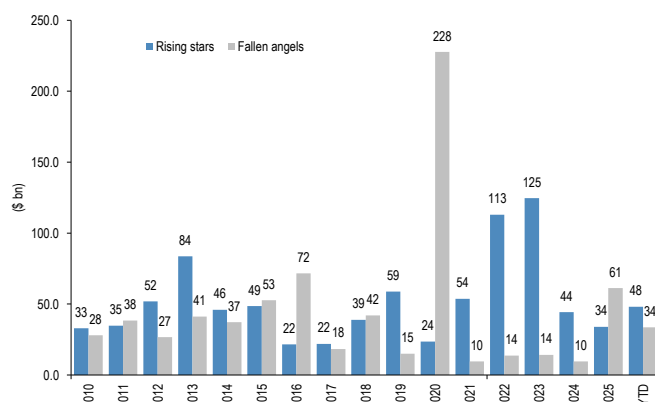
Source: J.P. Morgan; Moody's Investors Service; S&P

High Yield Rising Stars and Fallen Angels

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	YTD	Last week	Curr. Week
By number of issuers																
Rising stars	20	15	24	23	9	26	27	23	25	20	9	7	0	18	0	0
Fallen angels	25	21	13	10	52	10	13	12	10	9	2	1	0	4	0	0
Rising star/fallen angel ratio	0.8	0.7	1.8	2.3	0.2	2.6	2.1	1.9	2.5	2.2	4.5	7.0	-	4.5	-	-
By dollar volume (\$bn)																
Rising stars	21.6	22.0	38.9	58.9	23.6	53.7	113.0	124.7	44.3	33.9	27.4	19.3	0.0	48.1	0.0	0.0
Fallen angels	71.6	18.4	42.0	15.1	227.7	9.6	13.6	14.2	9.6	61.3	16.7	14.7	0.0	33.6	0.0	0.0
Rising star/fallen angel ratio	0.3	1.2	0.9	3.9	0.1	5.6	8.3	8.8	4.6	0.6	1.6	1.3	-	1.4	-	-

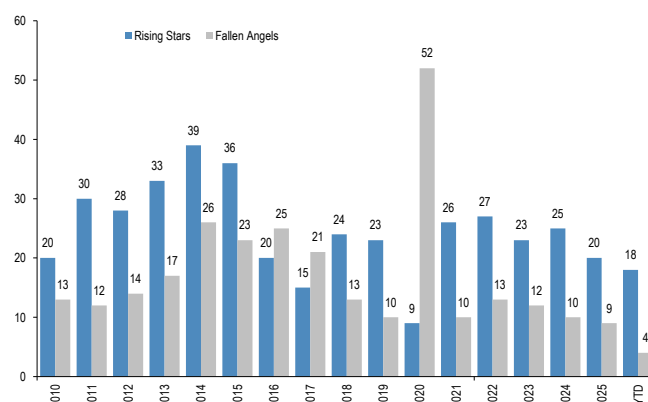
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Rising stars and fallen angels (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Rising stars and fallen angels (issuer)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Fallen angel bonds to be added to J.P. Morgan High Yield Bond Index

Issuer	Par (\$mn)	MDY	SP	Fitch	Industry	Approx. HY Bond Index Weight	Inclusion Date	No. of Bonds
Coty	2,150.0	Ba1	BB+	BBB-	Consumer Products	0.15%	8/10/2026	3

Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Note: If a bond is downgraded to high yield (fallen angels), it is added to the index subject to a seasoning period – it is added to index the first business day of the month closest to 30 days following the downgrade to high yield. If a bond is upgraded to investment grade (rising star), it is immediately removed from the index.

High Yield Index Profile

Summary Profile of J.P. Morgan High Yield Indices

	HY Bond	Global	Devel.	US	Dev BB	Inst'l	Liquid	Euro	Sterling	Euro. Curr	Euro. Agg.
Market value (bn)	\$1,467.5	\$1,126.9	\$1,032.3	\$934.4	\$566.6	\$831.1	\$229.9	€300.9	£26.6	87.6	351.9
Number of issues	1,928	1,516	1,346	1,201	703	1,002	100	191	59	138	554
Number of issuers	866	1,048	912	808	460	691	100	191	47	102	390
Average rating	Split BB	Split BB	Split BB	Split BB	BB	Split BB	Split BB	Split BB	B	Split BB	Split BB
Yield to worst	7.36%	10.41%	7.51%	7.41%	6.29%	6.69%	7.36%	7.34%	8.51%	9.00%	6.87%
Spread to worst	304bp	329bp	319bp	310bp	196bp	239bp	303bp	302bp	408bp	465bp	359bp
Current yield	6.90%	7.19%	7.15%	7.09%	6.22%	6.76%	7.33%	7.19%	8.00%	7.93%	6.37%
Coupon	6.71%	7.01%	6.98%	6.92%	5.15%	6.75%	7.25%	7.03%	7.76%	7.55%	6.19%
Avg Price	96.65	96.76	97.31	97.34	99.16	99.72	98.93	97.86	95.74	94.37	96.15
Yield to worst date	3.85 yrs	3.93 yrs	3.76 yrs	3.77 yrs	4.03 yrs	3.77 yrs	4.04 yrs	3.59 yrs	3.15 yrs	3.69 yrs	3.29 yrs
Duration	3.15 yrs	3.13 yrs	3.09 yrs	3.10 yrs	3.33 yrs	3.12 yrs	3.26 yrs	2.96 yrs	2.57 yrs	2.97 yrs	2.80 yrs

Source: J.P. Morgan.

Summary Profile of J.P. Morgan High Yield Index

	Market Weight	Market value (bn)	No. of issues	STW	YTW	YTM	Current Yield	YTW Date	Duration	Average Rating
J.P. Morgan HY Bond Index by industry										
Automotive	4.72%	\$69.3	94	251bp	6.79%	7.03%	6.72%	3.22 yrs	2.72 yrs	Split BB
Broadcasting	2.31%	\$33.8	42	439bp	8.70%	8.89%	7.57%	3.64 yrs	3.00 yrs	B
Cable and Satellite	5.30%	\$77.8	69	661bp	10.89%	11.34%	7.56%	3.68 yrs	3.02 yrs	Split BB
Chemicals	3.51%	\$51.5	81	294bp	7.28%	7.42%	6.72%	4.27 yrs	3.35 yrs	Split BB
Consumer Products	2.20%	\$32.3	62	311bp	7.48%	7.64%	6.63%	4.82 yrs	3.69 yrs	Split BB
Diversified Media	3.21%	\$47.1	59	360bp	8.03%	8.21%	7.48%	6.51 yrs	4.43 yrs	Split BB
Energy	11.25%	\$165.1	232	210bp	6.40%	6.78%	7.06%	3.81 yrs	3.11 yrs	Split BB
Financial	10.36%	\$152.1	213	291bp	7.21%	7.41%	7.06%	3.43 yrs	2.88 yrs	Split BB
Food and Beverages	3.22%	\$47.2	60	240bp	6.73%	6.85%	6.30%	4.15 yrs	3.43 yrs	Split BB
Gaming Lodging and Leisure	6.48%	\$95.1	132	239bp	6.69%	6.81%	6.21%	3.57 yrs	3.02 yrs	Split BB
Healthcare	8.44%	\$123.8	128	267bp	6.98%	7.15%	6.48%	3.66 yrs	3.05 yrs	Split BB
Housing	4.28%	\$62.8	101	311bp	7.44%	7.57%	6.64%	3.67 yrs	3.09 yrs	Split BB
Industrials	5.00%	\$73.3	98	193bp	6.20%	6.54%	6.58%	3.22 yrs	2.75 yrs	Split BB
Metals and Mining	2.65%	\$38.8	67	234bp	6.64%	6.96%	6.73%	3.74 yrs	3.12 yrs	Split BB
Paper and Packaging	2.25%	\$33.0	48	396bp	8.27%	8.48%	7.37%	3.42 yrs	2.86 yrs	B
Retail	2.57%	\$37.7	66	236bp	6.74%	6.85%	6.53%	5.00 yrs	3.90 yrs	Split BB
Services	5.80%	\$85.1	114	276bp	7.06%	7.22%	6.57%	3.46 yrs	2.94 yrs	Split BB
Technology	8.86%	\$130.0	132	405bp	8.36%	8.46%	7.51%	3.81 yrs	3.14 yrs	Split BB
Telecommunications	2.45%	\$35.9	38	446bp	8.82%	9.07%	7.84%	4.95 yrs	3.77 yrs	B
Transportation	2.12%	\$31.1	43	284bp	7.39%	7.66%	7.67%	3.16 yrs	2.67 yrs	Split BB
Utility	3.04%	\$44.6	49	192bp	6.31%	6.39%	6.13%	4.97 yrs	4.03 yrs	Split BB
J.P. Morgan HY Bond Index by rating										
Split BBB	1.60%	\$23.5	35	168bp	6.00%	6.08%	5.50%	3.97 yrs	3.28 yrs	
BB	53.24%	\$781.2	985	188bp	6.21%	6.37%	6.09%	4.13 yrs	3.38 yrs	
Split BB	4.52%	\$66.3	98	225bp	6.55%	6.79%	6.62%	3.42 yrs	2.90 yrs	
B	31.11%	\$456.5	573	321bp	7.50%	7.82%	7.64%	3.57 yrs	2.91 yrs	
Split B	2.43%	\$35.6	51	516bp	9.34%	9.49%	8.60%	3.59 yrs	2.92 yrs	
CCC/Split CCC	6.49%	\$95.2	160	1032bp	14.67%	14.79%	9.30%	3.38 yrs	2.68 yrs	
Not Rated	0.45%	\$6.6	15	634bp	10.65%	10.84%	9.84%	3.50 yrs	2.82 yrs	

Source: J.P. Morgan.

Leveraged Loan Index Profile

Summary Profile of J.P. Morgan Leveraged Loan Indices

	Leveraged Loan	Liquid	Second Lien	BB/B	EUR/GBP
Market Value (\$mn)	1,531,655	586,650	23,017	1,412,524	399,345
Number of Loans	1,374	200	70	1,174	423
Number of Borrowers	1,221	200	69	1,054	364
Average Rating	Split BB	Split BB	Split B/CCC	Split BB	B
Margin	S+312	S+285	S+655	S+298	S+356
Current Yield	7.24%	6.82%	13.85%	6.89%	6.49%
Years to Maturity	4.70 yrs	5.00 yrs	4.28 yrs	4.85 yrs	4.68 yrs
Average Price	95.48	96.85	75.58	97.72	95.41
Yield	8.93%	8.12%	20.66%	7.94%	8.35%
Spread	491bp	410bp	1663bp	392bp	538bp
DM	517bp	436bp	1689bp	418bp	564bp

Source: J.P. Morgan; S&P/IHS Markit

Note: Yield, spread and DM are to 3-year takeout and based on forward curve analytics

Summary Profile of J.P. Morgan Leveraged Loan Index

	Market Weight	Market value (bn)	Market No. of issues	Current Margin	Current Yield	Current Maturity	Avg. Price	To 3-year takeout (Forward Curve)		
								Yield	Spread	DM
J.P. Morgan Leveraged Loan Index by industry										
Automotive	3.02%	\$46.2	43	S+325	7.29%	4.34 yrs	96.76	8.51%	449bp	474bp
Broadcasting	1.02%	\$15.6	20	S+361	7.74%	4.13 yrs	95.72	9.31%	529bp	553bp
Cable and Satellite	1.65%	\$25.3	24	S+305	7.12%	3.99 yrs	95.23	9.08%	505bp	529bp
Chemicals	3.52%	\$53.9	61	S+326	7.44%	4.45 yrs	94.39	9.48%	545bp	572bp
Consumer Products	2.56%	\$39.2	48	S+348	7.41%	4.13 yrs	97.77	8.71%	468bp	494bp
Diversified Media	4.23%	\$64.7	41	S+342	7.42%	5.42 yrs	97.02	8.69%	467bp	492bp
Energy	2.68%	\$41.1	42	S+289	6.60%	5.47 yrs	99.81	6.97%	295bp	321bp
Financial	9.87%	\$151.2	101	S+279	6.64%	5.08 yrs	98.20	7.49%	347bp	373bp
Food and Beverages	4.60%	\$70.5	71	S+298	6.97%	4.53 yrs	96.83	8.10%	407bp	433bp
Gaming/Lodg./Leisure	5.38%	\$82.4	68	S+288	6.72%	4.51 yrs	98.56	7.45%	343bp	368bp
Healthcare	11.53%	\$176.6	141	S+331	7.38%	4.79 yrs	95.93	8.82%	480bp	506bp
Housing	3.40%	\$52.1	50	S+295	7.24%	5.01 yrs	93.59	9.74%	571bp	597bp
Industrials	7.27%	\$111.3	103	S+293	6.84%	4.99 yrs	98.04	7.47%	344bp	370bp
Metals and Mining	0.49%	\$7.6	12	S+306	6.79%	5.11 yrs	100.00	7.10%	308bp	334bp
Paper and Packaging	3.72%	\$57.0	48	S+343	7.44%	5.02 yrs	96.78	8.72%	469bp	495bp
Retail	2.46%	\$37.7	38	S+315	7.15%	4.82 yrs	96.82	8.37%	434bp	461bp
Services	11.04%	\$169.0	160	S+307	7.27%	4.62 yrs	94.49	9.29%	527bp	553bp
Technology	14.23%	\$217.9	191	S+338	8.12%	4.17 yrs	88.79	12.15%	813bp	838bp
Telecommunications	1.41%	\$21.6	19	S+426	8.91%	4.01 yrs	90.72	13.32%	930bp	955bp
Transportation	2.97%	\$45.5	40	S+266	6.45%	4.73 yrs	99.25	7.09%	307bp	333bp
Utility	2.94%	\$45.1	53	S+245	6.22%	5.39 yrs	99.43	6.70%	268bp	294bp
J.P. Morgan Leveraged Loan Index by rating										
BBB	4.71%	\$72.1	50	S+190	5.64%	5.29 yrs	99.66	6.05%	203bp	229bp
Split BBB	2.15%	\$32.9	30	S+182	5.55%	5.08 yrs	99.87	5.90%	187bp	214bp
BB	22.51%	\$344.8	299	S+239	6.14%	5.11 yrs	99.53	6.60%	257bp	284bp
Split BB	3.67%	\$56.2	56	S+288	6.69%	5.01 yrs	98.80	7.46%	343bp	369bp
B	59.19%	\$906.5	739	S+334	7.34%	4.70 yrs	96.76	8.70%	468bp	494bp
Split B/CCC	5.43%	\$83.2	140	S+466	11.87%	2.84 yrs	70.82	23.72%	1970bp	1994bp
Not Rated	2.29%	\$35.1	55	S+517	9.44%	3.25 yrs	93.74	11.85%	783bp	809bp

Source: J.P. Morgan; S&P/IHS Markit

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